

ALL VALUES ARE TRADED AT KRX

KOREA EXCHANGE COMPANY PROFILE

2017

GLOBAL PREMIER EXCHANGE

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ALL VALUES ARE TRADED AT KRX

There is a comprehensive global exchange that has led the growth and development of the Korean capital market.

It's KRX, an exchange that has grown to become the world's 15th largest in only 60 years.

Today, KRX is preparing for significant paradigm shifts in the world capital market through greater innovation. It is advancing step by step to solidify Korea's financial future by building solid confidence in stable and efficient market operation, by accommodating diverse needs of financial consumers through open communication, and by stepping up to the bold challenge of sharing its expertise with overseas exchanges.

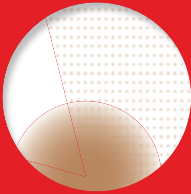
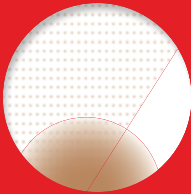
KRX will not cease to innovate itself to become a global market place where all instruments of value in the world come together to create greater value.

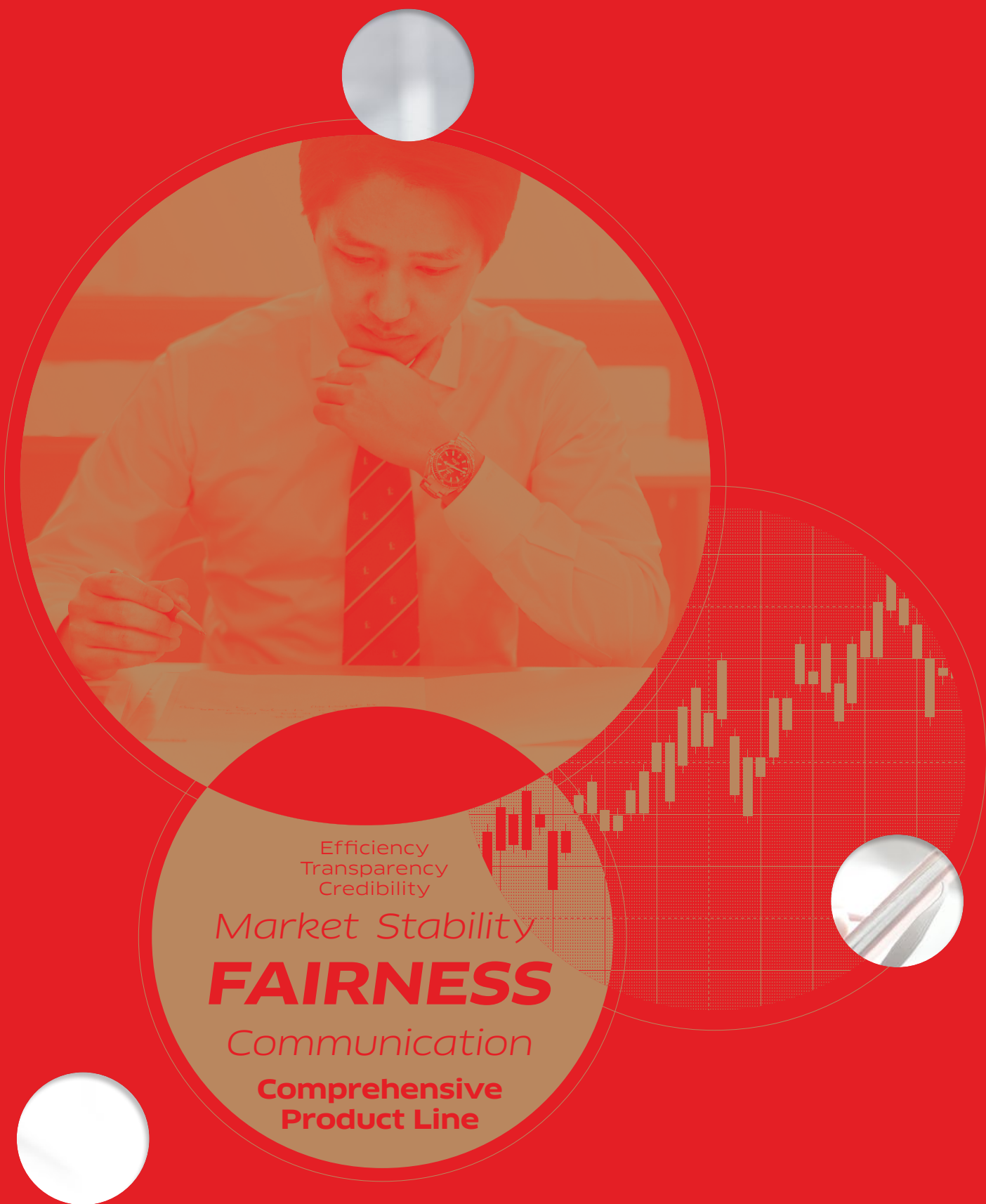


KOREA EXCHANGE



CONFIDENCE





KOREA EXCHANGE

Total Premium Market

A comprehensive global market where diverse products are traded

ALL VALUES ARE TRADED AT **KRX**

KRX creates a more efficient and stable market environment and plays an expanded role to build market **CONFIDENCE.**

Clearing Organization

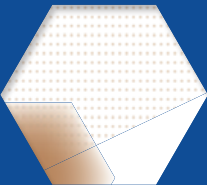
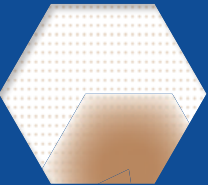
CCP services for secure settlement in the securities and derivatives markets

Fair & Transparent Market

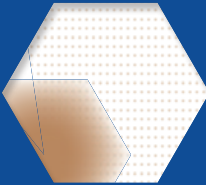
Fair and transparent market management through an efficient market surveillance system



KOREA EXCHANGE



COMMUNICATION





KOREA EXCHANGE

Startup Market
Establishment of a new market for startups

Diversification of Listed Products and Indices
Development of new indices and expansion of product lineup by market

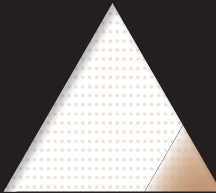
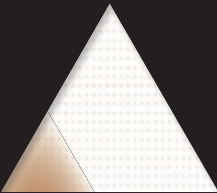
ALL VALUES ARE TRADED AT **KRX**

KRX is attune to market needs and nurtures future engines of growth. It does its best to have genuine **COMMUNICATION** with customers and to fulfill its unique role.

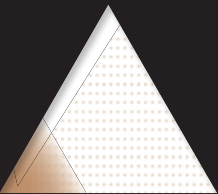
New Business
Discovery of new business models

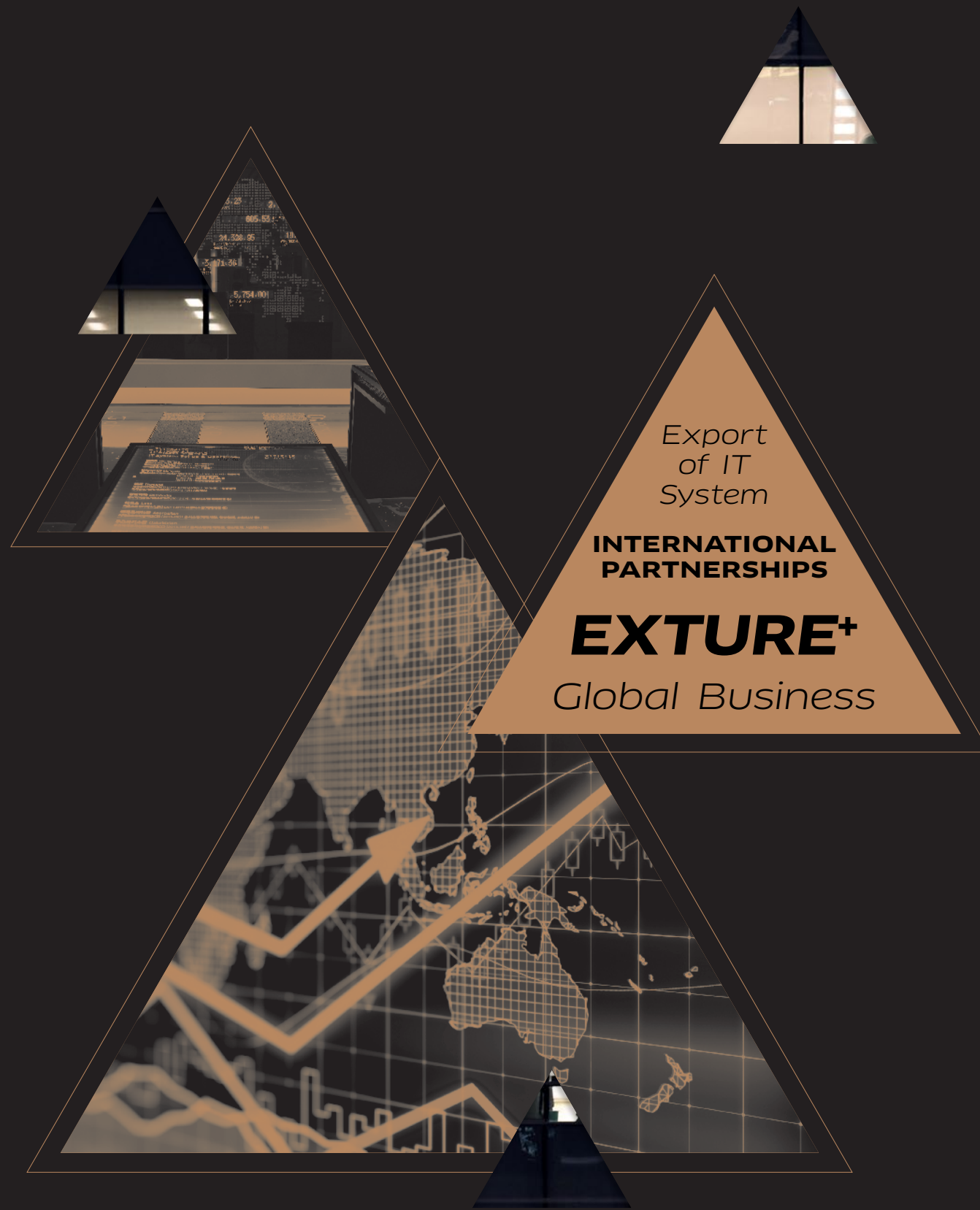


KOREA EXCHANGE



CHALLENGE





Export
of IT
System

**INTERNATIONAL
PARTNERSHIPS**

EXTURE⁺
Global Business

KOREA EXCHANGE

Advanced Market

A globalized market catering to diverse
participants at home and abroad

Innovative IT Infrastructure

Development and export of world-class
IT infrastructure

ALL VALUES ARE TRADED AT **KRX**

KRX is building stronger
ties with world markets
and expanding exports
of its capital market
model. It pursues the
CHALLENGE of building a
Global KRX passionately
with great determination.

Global Market

Active participation by global
companies and investors



COMMUNICATION



KRX will focus on strengthening the original functions of the market. It will uncover new businesses and nurture them as core growth engines for the future. It will develop a unique competitive edge that will establish global standards. KRX will continuously strive to become a platform for financial innovation, where global financial consumers realize the value that they dream about.

CONFIDENCE

CHALLENGE



KRX is a comprehensive global market where diverse products tailored to meet investor needs are traded. It has attained a high level of market confidence through its stable and efficient operation and its trustworthy market surveillance system.

COMMUNICATION



KRX will focus on strengthening the original functions of the market. It will uncover new businesses and nurture them as core growth engines for the future. It will develop a unique competitive edge that will establish global standards. KRX will continuously strive to become a platform for financial innovation, where global financial consumers realize the value that they dream about.

CHALLENGE

Through constant communication with market participants, KRX offers startups customized services for each stage of business growth, systematically develops new indices, and uncovers new business models for the future.



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CHALLENGE

Through constant communication with the market,
KRX offers startups customized support for
business growth, system development, and
uncovers new business opportunities.

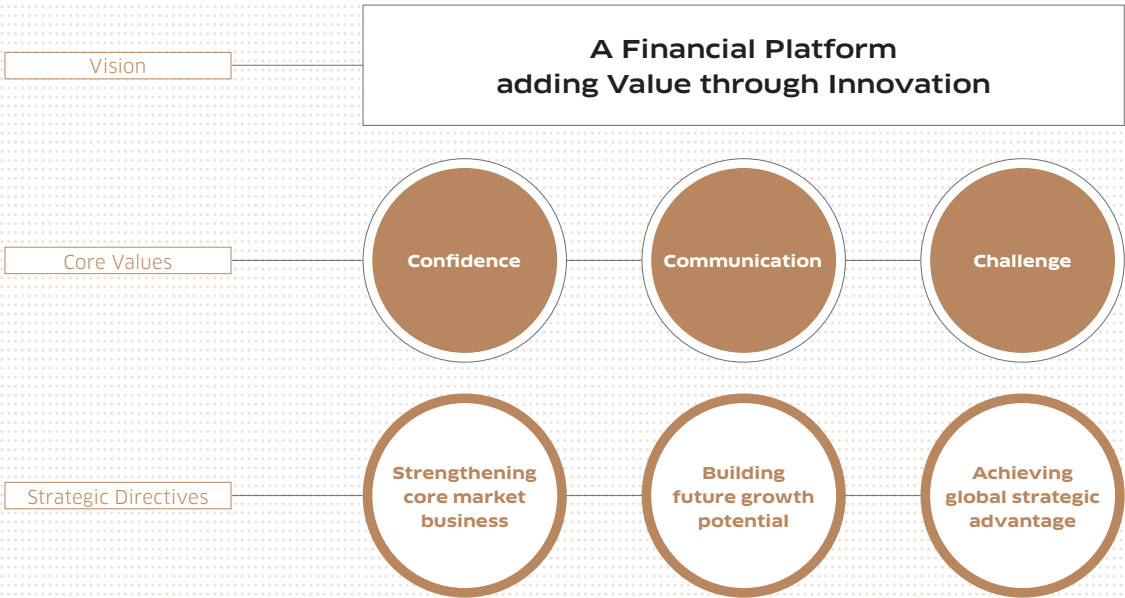
KRX pursues the domestic listing of prestigious companies
and products from across the world and the linkage of
domestic flagship products with overseas markets.
It is continuously pursuing the challenge of securing global
competitive advantage by expanding its IT infrastructure and
consulting business worldwide.



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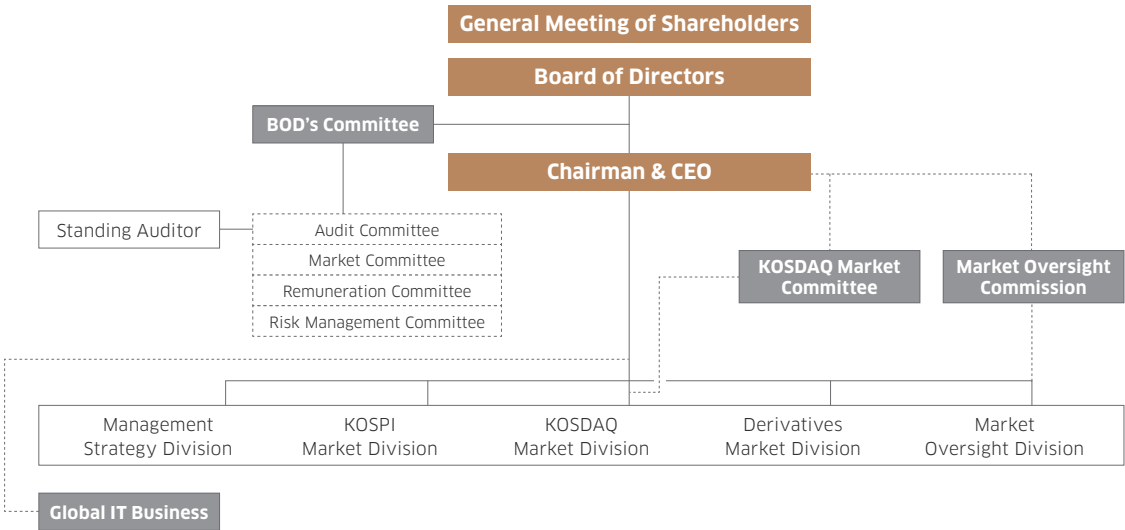


Vision of KRX



Organization

KRX's board of directors consists of 15 members, including the Chairman, a standing auditor from the Audit Committee, and the Chairman of the Market Oversight Commission. Eight outside directors comprise the majority. It has five divisions: the Management Strategy Division, three market divisions (KOSPI, KOSDAQ and Derivatives), and the Market Oversight Division.



History of KRX

Building on unique value accrued over the last 60 years, KRX will charge ahead to emerge as a global premier exchange.

1956

MAR. 3, 1956
Korea Stock Exchange (KSE) established

JAN. 15, 1962
Securities and Exchange Act enacted

APR. 1, 1962
KSE reorganized into a joint stock corporation

MAY. 3, 1963
KSE reorganized into a government-run, non-profit corporation

NOV. 22, 1968
Law on cultivating the capital market proclaimed

FEB. 1, 1969
Clearing transactions abolished with the launch of regular transactions

1970~1980

OCT. 1, 1971
KSE introduces its Post Trading System (order-book trading system)

JAN. 4, 1972
Price-weighted Korea Composite Stock Price Index (similar to Dow) introduced

DEC. 6, 1974
Korea Securities Depository established as a subsidiary of KSE

JAN. 4, 1975
Call trading in the securities exchange abolished in lieu of post trading

SEP. 20, 1977
Korea Securities Computer Corporation incorporated as another KSE subsidiary

JUL. 2, 1979
KSE relocated from Myungdong to Yeouido

SEP. 24, 1979
KSE gains membership to the International Federation of Stock Exchanges (FIBV), currently known as the World Federation of Exchanges (WFE)

JAN. 4, 1983
Composite stock price index calculation changed from a price-weighted method to a market-capitalization-weighted method

MAR. 1, 1988
KSE privatized and incorporated as a membership organization

MAR. 3, 1988
KSE launches its Automated Trading System (KATS)

MAR. 31, 1989
KOSPI breaks the 1,000 point mark (1,003.31 points)

1990

JAN. 3, 1992
Foreigners are allowed to make direct stock investments

OCT. 10, 1994
KSE hosts the 34th FIBV general assembly

MAY. 3, 1996
KSE launches the Stock Index Futures Market

JUL. 1, 1996
KOSDAQ stock market established

JUL. 7, 1997
KSE launches the Stock Index Options Market

SEP. 1, 1997
Complete computerization of the trading system

MAY. 25, 1998
Foreign investment ceilings eliminated for the majority of companies

OCT. 12, 1998
KOSDAQ committee established

MAR. 29, 1999
KSE launches inter-dealer market for government bonds

APR. 23, 1999
Korea Futures Exchange (KOFEX) established

2000

JAN. 28, 2002
KSE launches the Single Stock Options Market

FEB. 25, 2002
KSE launches the Inter-Dealer Repo Market

OCT. 14, 2002
KSE launches the Exchange Traded Fund (ETFs) Market

NOV. 1, 2002
KSE introduces a fair disclosure system

JAN. 29, 2004
Korea Securities & Futures Exchange Act enacted

JAN. 27, 2005
KSE, KOSDAQ and KOFEX consolidated as the Korea Exchange (KRX)

JUN. 1, 2005
KRX begins to publish the KRX 100 Index

NOV. 7, 2005
KRX launches KOSTAR Futures

DEC. 1, 2005
KRX launches the Equity Warrant Market

AUG. 20, 2007
KRX launches the Retail Bond Market

MAY. 6, 2008
KRX launches the Single Stock Futures Market

JUL. 21, 2008
KRX launches the Lean Hog Futures Market

JULY 29, 2009
KRX launches ETF tracking of 3-year KTBs

SEP. 21, 2009
KRX reclassified into FTSE's index for developed markets

NOV. 16, 2009
KRX launches nighttime trading of KOSPI 200 Futures on CME Globex

2010~2016

FEB. 23, 2010
Cambodia Securities Exchange (45% equity stake) incorporated

AUG. 30, 2010
KRX launches nighttime trading of KOSPI 200 Options on Eurex

SEP. 13, 2010
Opening of the Mini Gold Futures market

OCT. 10, 2010
Lao Securities Exchange (49% equity stake) incorporated

JAN. 1, 2011
Lao stock market begins trading

MAR. 30, 2012
Launch of online petroleum spot trading

APR. 18, 2012
Opening of the securities market in Cambodia

JUL. 1, 2013
Launch of KONEX

MAR. 3, 2014
Launch of the EXTURE⁺ system

MAR. 24, 2014
Launch of the KRX Gold Market

NOV. 17, 2014
Launch of the Exchange Traded Notes (ETN) Market

JAN. 12, 2015
Launch of the Emissions Trading Market

JUL. 6, 2015
Launch of KTOP 30, a Dow-like Korean index

AUG. 3, 2015
Opening of the KOSDAQ Stock Futures Market

OCT. 5, 2015
Opening of the CNY Futures Market

APR. 22, 2016
KRX obtains European Securities and Markets Authority (ESMA) certification

AUG. 1, 2016
Extension of trading hours by 30 minutes

NOV. 14, 2016
Launch of the KRX Startup Market and establishment of an integrated infrastructure

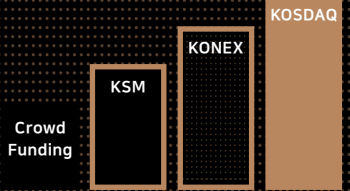
NOV. 28, 2016
Initiation of nighttime EUREX-linked Mini KOSPI 200 futures trading (EURO STOXX 50 futures listed on June 27, 2016)

At a Glance 1

HIGHLIGHTS
2016

See the vision and the future potential of KRX through its progress and achievements in the past and the present.

Key Events



Crowd Funding

KSM

KONEX

KOSDAQ

Establishing a ladder system for listing

1

Launch of the KRX Startup Market and integrated infrastructure NOV. 14

KRX launched the KRX Startup Market (KSM) and developed an integrated infrastructure to nurture and support startup companies for listing on the Exchange. KRX seeks to firmly establish a virtuous cycle of venture financing (financing → disinvestment alternatives → exit) that will stimulate investment in startup companies.



esma

European Securities and Markets Authority

2

KRX granted ESMA recognition as a certified CCP APR. 22

The European Commission (EC) affirmed that the regulatory framework and financial infrastructure (CCP, etc.) of Korea are up to par with European standards, asserting that the Korean financial markets' system to regulate effective risk management infrastructure meets world-class standards (PFMIs, etc.).



FOW AWARDS FOR ASIA 2016

3

FOW Asia Award conferred to KRX's exported trading system SEP. 22

KRX's trading system exported to Azerbaijan's Baku Stock Exchange won an award for Best Technology Innovation by an Exchange at the 2016 FOW Asia Awards* held in Singapore on September 22, 2016. The system is an upgraded export model based on EXTURE*. The award reinforces the outstanding recognition that KRX's capital market trading system has received.

* Futures & Options World (FOW) was established in 1982 to provide news and data services related to global capital markets. Its annual awards ceremony gives recognition to new technologies in the capital market.

Policy Improvements

4

Extended trading hours for the securities and derivatives markets AUG. 1

To enhance its global competitiveness and give investors greater convenience, KRX extended trading hours of the securities and derivatives markets starting from August 2016. It will create a more efficient trading environment by extending trading hours of the regular session by 30 minutes while shortening the trading hours of the after-hours session by 30 minutes.



±30 min

5

First-ever listing of a Korean index overseas JUN. 29

KRX signed an agreement with BlackRock, one of the world's largest asset management companies, to commercialize the KOSPI 200 index. Based on this, BlackRock has listed on the Stock Exchange of Hong Kong the iShares Core KOSPI 200 index ETF, an index customized to entice overseas investors.



HKEX
香港交易所

6

Launch of the nighttime Mini-KOSPI 200 futures trading on EUREX NOV. 28

KRX launched the nighttime Mini-KOSPI 200 futures market on Eurex in November 2016 to expand the 24 trading-hours base of its flagship derivatives product. Moreover, it has listed the first overseas index-based derivatives product in Korea, EURO STOXX 50* futures, to address foreign investors' needs to manage risk during Asian trading hours**.

* Basket of 50 stocks from 12 major Eurozone countries (Austria, Belgium, Finland, France, Germany, Greece, Ireland, Italy, Luxembourg, the Netherlands, Portugal and Spain).
** Offers risk management opportunities against major economic events in the Asian market while the European markets are closed.



Eurex
KRX KOREA EXCHANGE

7

Launch of clearing services for USD interest rate swap transactions DEC. 26

Following the launch of clearing services for KRW IRS transactions*, KRX launched clearing services for USD interest rate swap (USD IRS) transactions**, fulfilling its role as an OTC central counterparty (CCP) clearing house. KRX effectively eliminated systemic and counterparty risk of USD IRSs, facilitating and improving the safety of transactions by assuming responsibility for their clearing and settlement.

* Clearing services for KRW IRS transactions began on March 3, 2014. Mandatory clearing began on June 30, 2014.
** Plain vanilla swap transaction between USD fixed rates and floating rates.



PLAIN VANILLA SWAP

FEB. 17, 2016	Record high physical deliveries of USD futures	DEC. 14, 2016	Introduction of Fast Track Listing on KONEX for successfully crowd-funded companies
MAR. 3, 2016	60th Anniversary of the KOSPI market	JAN. 16, 2017	Bond market average daily trade volume reached KRW 10 trillion
APR. 7, 2016	MOU with DTCC Group, the world's largest TR business provider	MAR. 8, 2017	KONEX trade volume exceeded KRW 10 billion for the first time
JUL. 1, 2016	20th Anniversary of the KOSDAQ market		
NOV. 23, 2016	Clearing of OTC derivatives surpassed KRW 1,000 trillion		

SHAPING THE FUTURE

KRX'S STRENGTHS AND SOURCES OF COMPETITIVENESS

KRX is a comprehensive global exchange where leading companies from around the world are listed and domestic and foreign investors meet to trade stocks, bonds, and derivatives. Its scale, liquidity, product diversity, and IT infrastructure are up to par with the world's leading exchanges, and its transparent management has won investors' great trust.

A TOTAL PREMIUM MARKET CHOSEN BY BLUE CHIP COMPANIES AND INVESTORS FROM ALL AROUND THE WORLD.

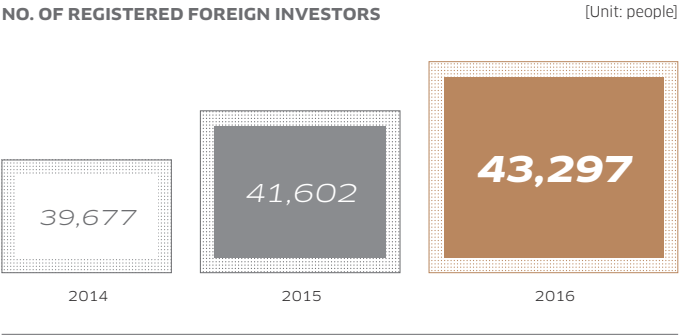
GLOBAL KRX

A TOTAL MARKET WITH A COMPREHENSIVE PRODUCT LINEUP INCLUDING STOCKS, BONDS, DERIVATIVES, STRUCTURED PRODUCTS AND COMMODITIES

KRX provides investors with efficient means to manage assets by offering a single platform where an extensive product line-up, ranging from stocks and bonds to derivatives, ETFs, ETNs and commodities (gold, emissions, etc.), can be traded while minimizing transaction costs, and hedging investment risks.

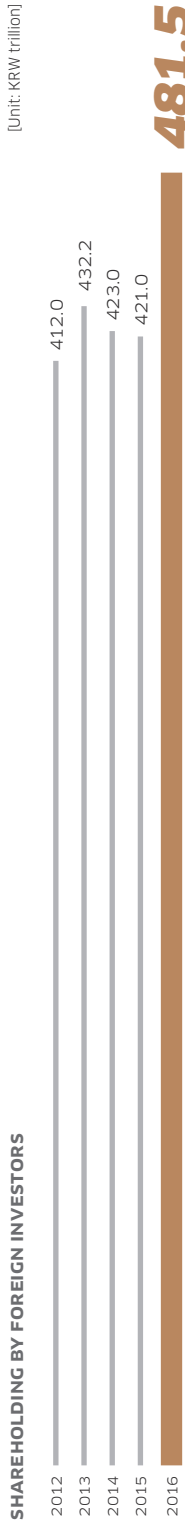
A PREMIUM MARKET FAVORED BY PROMINENT GLOBAL COMPANIES AND INVESTORS FROM DIVERSE ORIGINS

From blue-chip companies in traditional sectors, such as electronics, machinery, automobile and oil refining, to diverse companies in future-oriented, high growth industries, such as IT, semi-conductors, biotechnology and entertainment, a broad array of companies are listed on KRX. KRX has been enjoying a strong presence of foreign investors, with holdings of up to KRW 481.5 trillion at the end of 2016 and a continuous increase in number and nationalities of global investors.



STEADY LISTING OF FOREIGN COMPANIES

KRX is making efforts to attract foreign companies to promote synergy and growth between companies and investors. Following the first listing of a foreign company on KRX in 2007, 17 foreign companies are listed as of May 2017 and the number is expected to continue to grow due to growing interest.



STANDING AT THE HEART OF THE GLOBAL CAPITAL MARKET THROUGH BUSINESS COOPERATION WITH LEADING GLOBAL EXCHANGES AND INDEX PROVIDERS.

ADVANCED MARKET



ADVANCED CAPITAL MARKET ACKNOWLEDGED BY FTSE AND S&P

FTSE'S CLASSIFICATION OF KOREA AS A DEVELOPED MARKET IS A RECOGNITION OF KRX'S ADVANCED MARKET POLICIES AND TRADING ENVIRONMENT

FTSE has classified Korea as a developed market since September 2009, indicating not only that KRX has evolved to the status of advanced, top-tier global markets in terms of size, but also that its policies and trading environment are mature.

COLLABORATION WITH S&P TO MARKET KRX INDICES GLOBALLY

KRX currently calculates over 130 indices, including KOSPI 200. The size of assets of the index funds and derivatives linked securities based on KOSPI 200 amounts to KRW 60 trillion. In collaboration with S&P, KRX is pursuing the global marketing of its indices to investors worldwide. Global investors have easy access to the Korean market through diverse products based on KRX's indices.

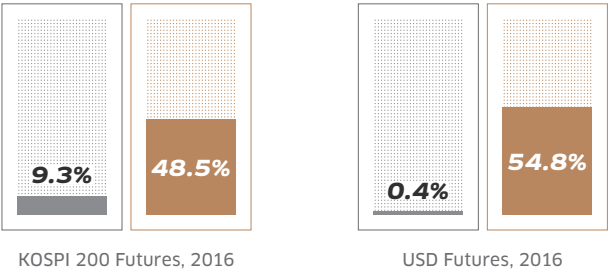


TRADING LINKAGES WITH CME AND EUREX FOR KOSPI 200 FUTURES AND OPTIONS

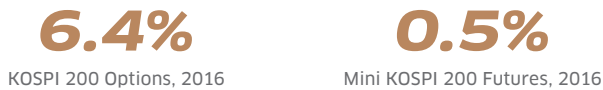
By linking KOSPI 200 Futures with CME Globex and KOSPI 200 Options with Eurex, KRX created a global market that allows 24-hour trading of KOSPI 200 derivatives. Separately, KRX launched the global USD futures market in November 2014 to provide means of managing the risk of exchange rate fluctuations afterhours. In view of the increasing importance of the Asian market in the global marketplace, KRX has listed futures of Eurex's leading index derivatives product, EURO STOXX 50, on its market in June 2016. Likewise, it has listed Mini KOSPI 200 futures on Eurex in November 2016.

	CME	EUREX	KRX
Products	KOSPI 200 Futures/ USD Futures (same product as the regular market)	KOSPI 200 Options/ Mini KOSPI 200 Futures (1-day expiration)	EURO STOXX 50 Futures
Trade execution	CME Globex	Eurex	KRX
Clearing and settlement	KRX	Eurex: Settlement of payments KRX: Final settlement (physical deliveries)	KRX
Trading hours (local time in Korea)	18:00 ~ 05:00 (+1)	18:00 ~ 05:00 (+1)* * 04:00 during daylight saving time	09:00 ~ 15:45 (regular trading hours)
Market opening	November 2009/ December 2014	August 2010/ November 2016	June 2016

CME ■ CME Globex trading as a percentage of regular day-time trading
■ Foreign investor participation as a percentage of total CME Globex trading



EUREX ■ Eurex trading as a percentage of regular day-time trading

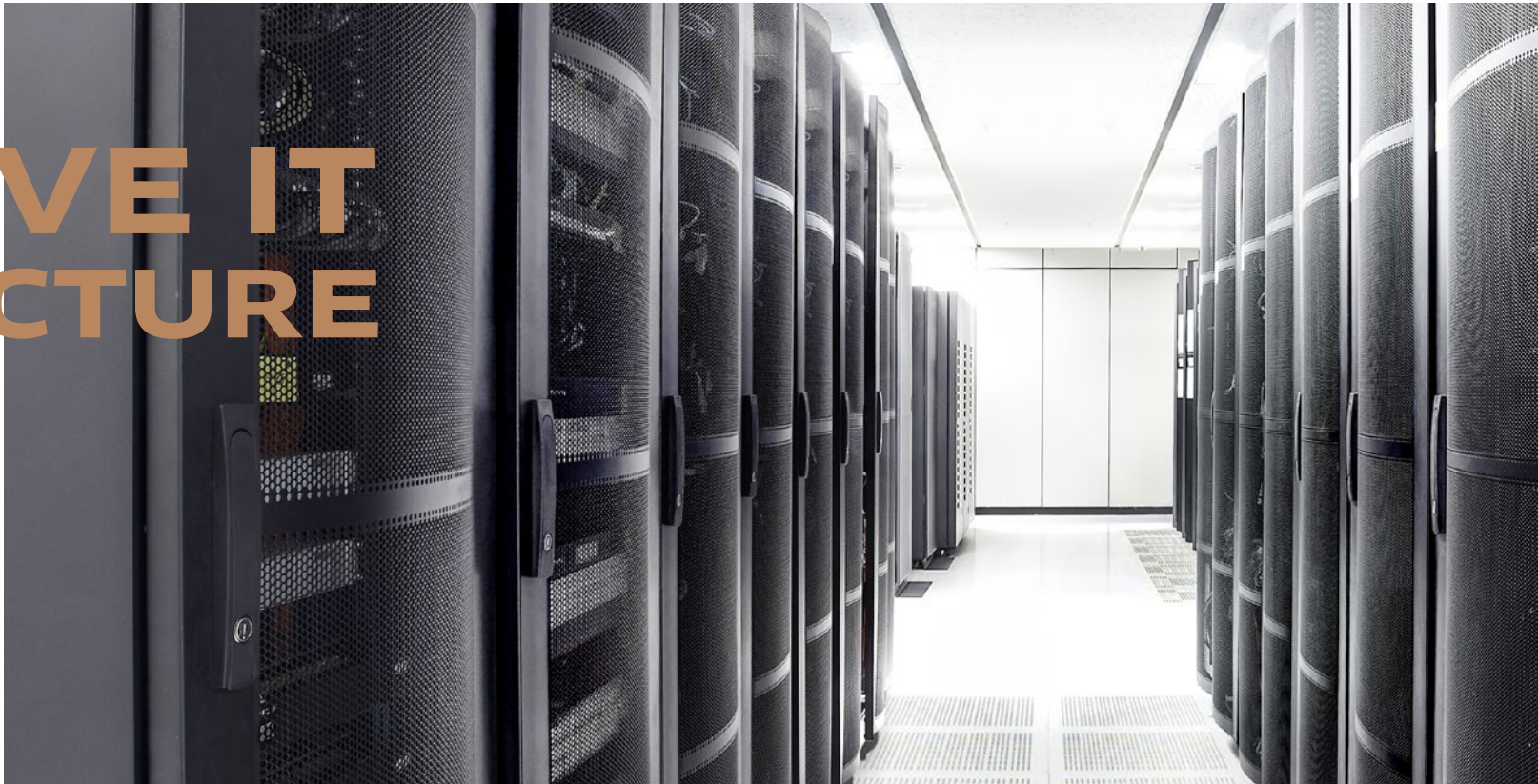


GLOBAL KOSPI 200 MARKETS: AVERAGE DAILY TRADING VOLUME



KRX EXTURE+ BOASTS WORLD-CLASS SPEED, CAPACITY AND RELIABILITY.

INNOVATIVE IT INFRASTRUCTURE



EXCELLING PERFORMANCE

THROUGHPUT

20,000 TPS

LATENCY

~100 Micro Seconds

ENVIRONMENT

INFRASTRUCTURE

x86 Linux Server

TECHNOLOGY

Memory-based Order Book Layered/Tiered Architecture

ACCESS

FIX/FAST Standard protocol

EXTURE+: WORLD-CLASS TRADING CAPABILITIES

- Breakthrough improvement in order processing speed and capacity
- Enhanced customer service with safety measures against misplaced orders (Kill-Switch) and limitations on excessive quotations
- World-class technology with core technology developed in-house to reinforce the competitiveness of the IT export business and promote the proliferation of Korean-style capital market models worldwide

CONTINUITY OF MARKET OPERATIONS UNDER ANY CIRCUMSTANCES

- Software technology based on fault-tolerant architecture, triplication of hardware, and installation of a disaster recovery system
- 24-hour monitoring against faults and infiltration by the Integrated IT Control Center
- Information protection management system with international ISO27001 certification

INTEGRATED PLATFORM MAXIMIZING MARKET ACCESS AND IT OPERATIONAL EFFICIENCY

- KRX's platform integrates multiple markets, including securities and derivatives, into one and maximizes efficiency as well as user friendliness

RDS FOR QUICK RESPONSE TO CHANGES IN THE MARKET ENVIRONMENT

- Reference data services (RDS) can be used to track diverse products or newly launched markets in a short period of time. Convenient server expansion allows quick and flexible response to abrupt changes in the market conditions

USER-ORIENTED CUSTOMIZED MARKET DATA SERVICES

- Integrative data distribution system for the next generation supports the customized market data services as well as globalization of your data service business

TRADING

EXTURE+ TRADING, THE STATE-OF-THE-ART TECHNOLOGY OF KRX, EXCELS GLOBAL COMPETITIVE TRADING PLATFORMS

FUNCTIONALITIES

Instruments	Stocks	Common/preferred stocks, Mutual funds, ETFs, Warrants, Rights, DRs
	Securitized derivatives	ELWs
	Bonds	
	REPOs	
	Derivatives	Futures, Call/Put Options (stock index, currency, interest, metal, agriculture, etc.)
Market Structure	Multi-Market	Operations of multiple and different markets in one exchange
	Multi-Board	Odd-Lot Board, Buy-In Board, Negotiation Board and others
		Pre-Open, Main and Post-Closing depending on the trading hours
Trading Method	Individual Auction	Single Price Auction, Continuous Matching, Allocation Matching, One-Side Auction
	Negotiation	
Types		Limit Order
		ATO/ATC, Market Order
		Stop Limit/Market Order, Iceberg Order
		Same Side Best Order, Opposite Side Best Order
		FAS/FAK/FOK
		GTC
Other	Trading rules and many other advanced functionalities (market maker, DMA, etc.) are provided by parameters.	

ADVANTAGES OF EXTURE+ TRADING

- All products in a single platform (stocks, bonds, futures, options, etc.)
- Memory-based solutions and open source architecture
- Parameter-based system (Reference data system)
- Capable of DMA, non-exchange trading venues (Dark pool, ECN, Algo, HFT, etc.)

CLEARING & SETTLEMENT

KRX OFFERS A WORLD-CLASS RISK-CONTROLLING AND TRUSTWORTHY CS SYSTEM FOR YOUR MARKET

YOU TRADE, KRX CS SYSTEM CLEARS

DETAILED FUNCTIONALITIES

KRX CS system is an integrative solution to cover both cash and derivatives products. KRX has realized the following CS functionalities:

- Utilization of SPAN, VaR, Stress Testing methodologies
- Allocation (give-up, take-up), real-time display on current position movement
- Calculation on settlement obligation, fees, rebates
- Physical deliveries, parametric arrangement
- RDS set-ups for multi-market, currencies
- Collateral in various currencies
- Warning on intraday margin breaks
- Approval process on many critical decisions of the Clearing House

STANDARD AND UP-TO-DATE TECHNOLOGIES

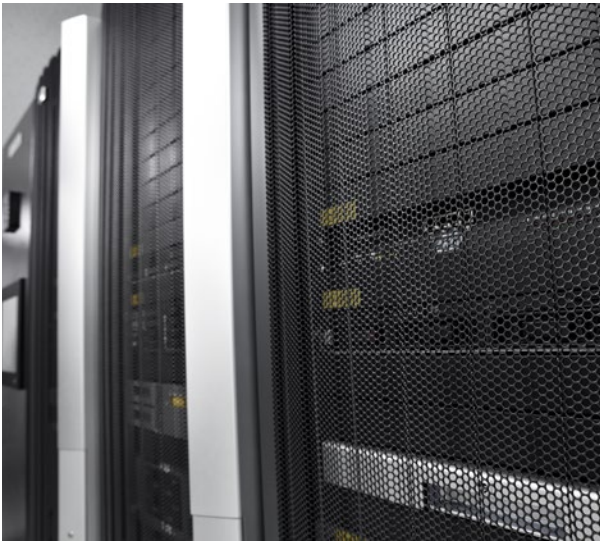
KRX supplies global customers with user-oriented, trendy technical features.

- Reports based on what you see in XLS, PDF
- Developed in web-based programs and workable in various browsers
- Connect to CME GLOBEX using FIX/FAST
- Communication through FIX to members
- Utilizing XML to talk to CME SPAN and members

Position Management	Settlement Calculation
Trade Registration	Settlement Price
Give-up/Take-up	Settlement Amount
Position Transfer	Fee/Rebate/Charge

Reference Data Management	Risk Management
CP/Account	Margin Calculation
Product/Series	Intraday Margin
Parameters	Clearing Fund

Collateral Management	Financial Management
Deposit/Withdrawal	Cash In/Out
Allocation	Interest/Investment
Valuation	Posting Codes

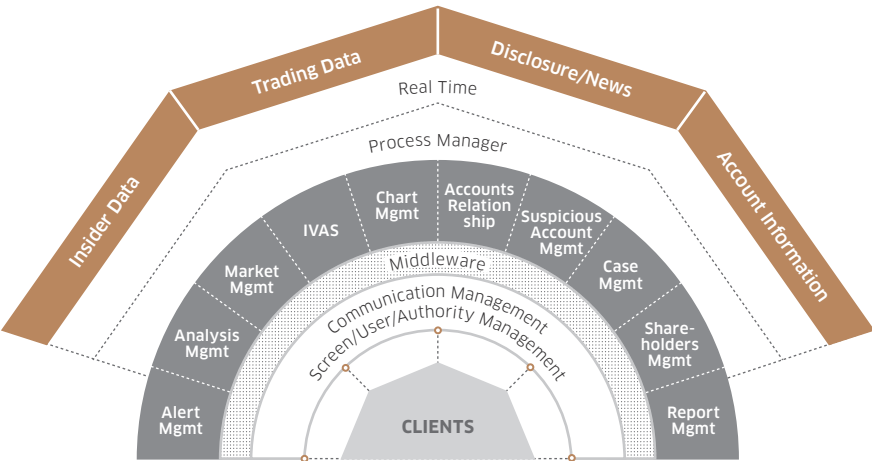


SURVEILLANCE

KRX EXTURE⁺ SURVEILLANCE SYSTEM, PROVEN SOLUTION FOR THE WORLD'S MOST ACTIVELY TRADED DERIVATIVES MARKETS, IS NOW AVAILABLE TO OVERSEE ANY SECURITIES, DERIVATIVES AND INTER-LINKED MARKETS IN THE WORLD

KEY FEATURES

- **Powerful rule engine**
More than 500 parameters
Complex detection rules can be configured easily
- **Variable charts and visual representations**
Easily identifiable data in all graphs and spreadsheets
- **Pattern recognition algorithms and tools**
- **Market replay**
Limitless-depth order book, single/dual price column view, easy zoom in/out
- **User-defined reports**



DISCLOSURE



FAST AND CONVENIENT DISCLOSURE CHANNEL FOR INVESTORS IS MORE THAN IMPORTANT

KEY FEATURES

Easy submission	Provides easy-to-use web-based interfaces to facilitate submission of disclosures in the form of user-created templates.
Integrated workflows	Designed to accommodate a wide range of workflow for global customers.
Easy form creation	Users can easily create and change XML templates or edit Microsoft Word files and upload templates to the system.
Increased data usability	Disclosure data is automatically extracted and stored for value-added data products.
Trendy with all types of browsers and mobile services	Supports various types of browsers and both Android and iPhone for mobile service.

FAIRNESS AND TRANSPARENCY,
THE BIGGEST SOURCE OF KRX'S COMPETITIVENESS.

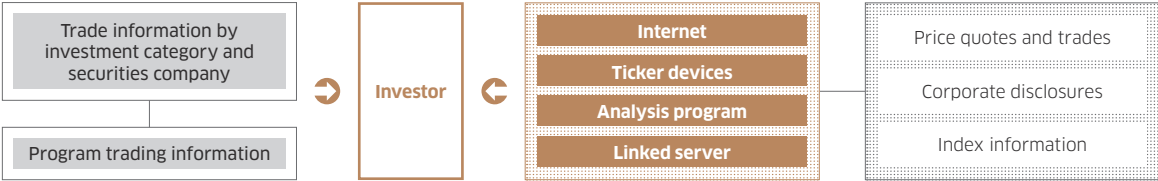
FAIR & TRANSPARENT MARKET

A FAIR AND CREDIBLE MARKET IN WHICH INVESTORS CAN PARTICIPATE WITH TRUST

To protect the credibility and fairness of the market, the Market Oversight Commission, KRX's self-regulatory body, as a watchdog in the capital market, quickly and accurately detects and curtails unfair trading that is becoming more complicated. Real-time monitoring using state-of-the-art market surveillance systems and advanced transaction analysis techniques enable early detection of unfair transactions. KRX is also implementing preventive measures and activities, such as preventive education, request for inquired disclosure, and issuing of market, investor and cyber alerts.

CONTINUOUS, MULTIFACETED EFFORTS TO PREVENT UNFAIR TRADING, SUCH AS EDUCATION AND CONSULTING

KRX provides individual investors, listed corporations and financial investment companies, etc. with preventive education services on topics such as market manipulation and insider trading. Through consulting services for listed corporations, KRX supports the establishment of internal control systems which are designed to deter unfair trading practices such as the use of undisclosed information in advance.



REINFORCEMENT OF DISPUTE RESOLUTION AND REDEMPTION MEASURES TO PROTECT KRX'S 5 MILLION INVESTORS

KRX actively engages in investor outreach programs, such as providing professional dispute resolution services and supporting litigation procedures for victims of unfair trading, to help investors in need. Leveraging its expertise and know-how, KRX provides damage appraisal services for investors to reduce the burden of litigation. It is also expanding its dispute mediation and legal counseling services through cooperation with courts and bar associations.

MARKET SURVEILLANCE

FAIR AND TRANSPARENT MARKET

Prevention of unfair trading

- Preventive measures against unsound trading
- Market warnings, request for inquired disclosure, and investor alerts
- Education to prevent unfair trading and consulting for listed companies

Investor protection (Relief of damages)

- Mediation of securities investment related disputes (<http://drc.krx.co.kr>)
- Litigation support for victims of unfair trading (<http://help.krx.co.kr>)

Early stage detection of unfair trading

- Real-time market surveillance (monitoring)
- Investigation of alleged unfair trading (trial)
- Operation of a call center for unfair trading (<http://stockwatch.krx.co.kr>)



PURSUING STRATEGIES WITH PASSION

KRX'S KEY BUSINESS INITIATIVES

KRX will strengthen the capital market's basic function and provide a more efficient and stable environment for market participants. By developing and nurturing key engines for future growth, it will build a solid foundation for the sustainable growth of the capital market, and by forging links and cooperation with global markets, it will accelerate overseas expansion. KRX will focus on realizing its vision through confidence, communication and stepping up to challenges.

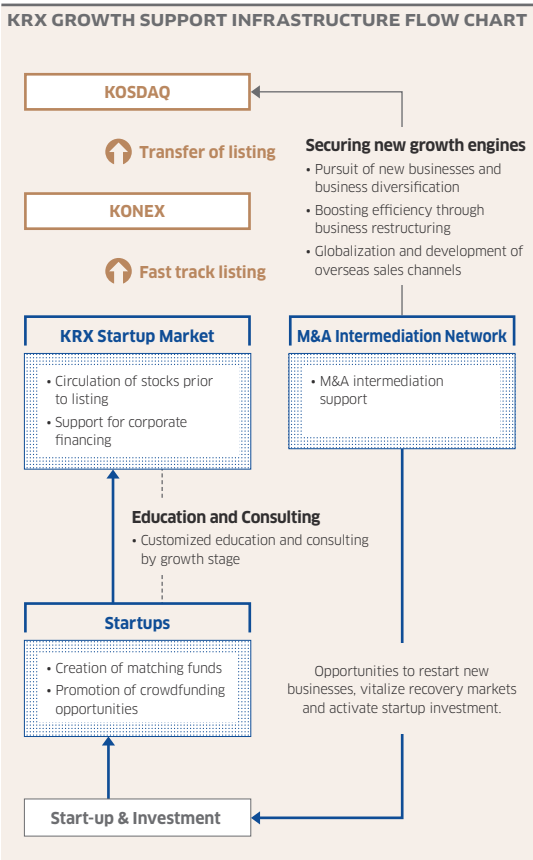


KOREA EXCHANGE

INFRASTRUCTURE
FOR CORPORATE
GROWTH

From start-up to listing, KRX’s growth support infrastructure gives corporations a helping hand.

The KRX Startup Market (KSM), the M&A intermediation network, education and consulting services on listing, and support for crowdfunding are all part of KRX’s one-stop, growth support infrastructure to help start-ups, ventures, and small and medium-sized companies complete the full processes from founding to listing.



Convenient investment environment through a mobile application

72%
Crowdfunded companies

KRX Startup Market

KSM - A NEW TRADING PLATFORM
EXCLUSIVELY FOR UNLISTED STOCKS OF
STARTUPS.

In a bid to help startups to secure financing and investors to recover investments before IPO, KRX launched KSM in November 2016, a win - win platform for companies and investors to trade unlisted stocks of startup companies. A mobile application facilitates placement and monetization of investments in KSM, improving access to opportunities to invest in startup companies.

KSM's target companies	Companies with a record of successful crowdfunding or recommendations from policy loan institutions* * Korea Technology Finance Corporation, Korea Credit Guarantee Fund, Korea Development Bank, IBK Industrial Bank, Korea Growth Investment Corporation, Seoul Business Agency, Korea Creative Content Agency, National IT Industry Promotion Agency, SME-specialized securities companies, CCEI, etc.
KSM trading methods	Mobile application-based trading system, enabling direct negotiations between participants
Fast track listing on KONEX	Companies listed on KSM for over six months that meet specific requirements are eligible for the fast-track listing on KONEX (exemption from the requirement to nominate a designated advisor)

With 31 companies (72%) out of the 43 companies registered on KSM as of March 2017 successfully crowdfunded, KSM, as a trading platform, has laid the foundation for the growth of crowdfunded companies and the trading of their stocks.

STATUS OF COMPANIES ON KSM [Unit: companies]

Crowdfunded companies	Companies with recommendations		Total
	CCEI	Policy loan institutions, etc.	
28	8	7	43

* Three of the companies recommended by CCEI are crowdfunded companies.

KRX M&A Network

KRX SUPPORTS THE ACTIVATION OF THE
DOMESTIC M&A MARKET BY ACCUMULATING
AND UTILIZING INFORMATION ON M&A OF
STARTUPS, SMEs AND HPes (HIGH POTENTIAL
ENTERPRISES).

In an effort to support the establishment of a virtuous cycle of venture capital that leads to investment - exit - reinvestment, an M&A intermediation network which offers a one-stop services ranging from M&A matching to professional consulting (June 2016).

The M&A network is a hub of diverse professional M&A-related entities, such as investment banks, banks, accounting firms, law firms, and venture capital firms, which provides startups, SMEs, and venture companies with an access to capital markets and opportunities to recover their investments through M&As. As of March 2017, the network has 344 members, 126 M&A offers registered, and 6 deals closed, establishing itself as an M&A information hub that promotes the recovery of investments by venture capital in a short period of time.

MEMBERS OF M&A INTERMEDIATION NETWORK [Unit: companies]

Professional organizations	SPACs	Listed companies			Unlisted companies
		KOSPI	KOSDAQ	KONEX	
31	42	76	131	18	46

M&A OFFERS REGISTERED WITH THE NETWORK [Unit: cases]

For sale	For purchase	M&As accomplished
58	68	6

KRW 8 billion
KSM-Crowdfunding Seed Fund

M&A Hub
344 companies
Members of M&A Intermediation Network

KSM-Crowdfunding Seed Fund

KRX CREATED A FUND TO STRENGTHEN ITS
ROLE AS A CATALYST FOR CROWDFUNDING
AND TO SUPPORT COMPANIES REGISTERED
WITH KSM.

In December 2016, KRX created the KSM Crowdfunding Seed Fund (KRW 8 billion) together with SME-specialized securities companies, Korea Growth Investment Corporation, and the IBK Industrial Bank of Korea to promote crowdfunding and KSM.

The Fund facilitates financing for promising start-ups registered with KSM by providing seed money for crowdfunding as well as follow-up investment.



KOREA EXCHANGE

DIVERSIFICATION OF
MARKETS AND
INDICES

KRX provides diverse indices in accurate response to market trends and customer needs.

KTOP 30

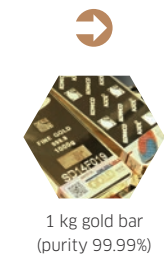
KTOP 30 IS A FLAGSHIP INDEX OF THE KOREAN STOCK MARKET THAT COMPRISES 30 BLUE-CHIP STOCKS.

KTOP 30 is comprised of a basket of stocks that were carefully selected by the Index Committee from KOSPI and KOSDAQ based on five criteria, including economic representativeness, market representativeness, and investor accessibility. In order to capture the trends in the entire market, it takes into consideration the balance by sector and responds flexibly to the changes in the structure of the economy, instead of being restrained by rigid quantitative standards.

In addition, it uses a stock price averaging formula that reflects stock price changes evenly on the index (stock price weighted index), allowing investors to easily predict the effect of stock price changes on the index. The basket of a few selected blue-chip stocks helps to demonstrate the growth potential of the Korean economy, raising prospects for future share price increases. KTOP 30 is expected to become a representative index of Korea's market and economy.

SELECTION OF CONSTITUENT STOCKS AND METHOD OF INDEX CALCULATION

Overview	Concept of the index	Showing the growth potential of Korean economy → Optimizing the long-term performance of the index
Selection of constituent stocks	Universe	Common stocks from KOSPI and KOSDAQ
	Selection criteria	Detailed evaluation in five areas: economic representativeness, market representativeness, investor accessibility, sustainable growth, and impact on the index
Index calculation	Number of stocks	30
	Weighting methods	Price-weighted index
	Base date (base index)	January 3, 1996 (889 points) (Time when Korea joined OECD; 20-year retrospective index calculation)
	Calculation date	July 13, 2015
	Calculation cycle	2 seconds



KRX Gold Market

THE KRX GOLD MARKET WAS ESTABLISHED TO STIMULATE THE DOMESTIC GOLD MARKET AND BRING INNOVATION TO A DISTORTED DISTRIBUTION SYSTEM.

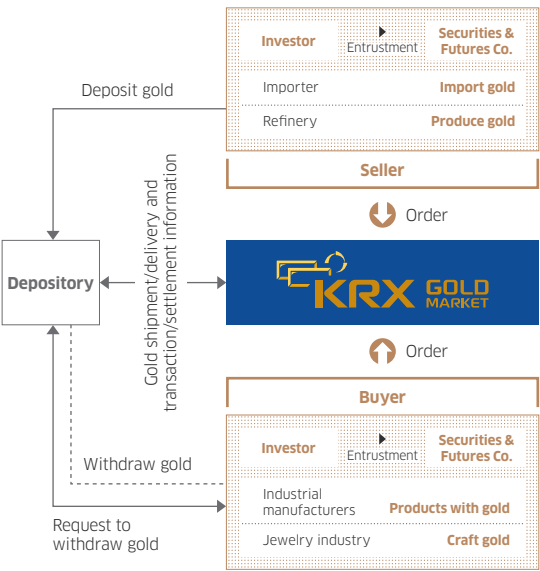
The KRX gold market is a gold spot market opened on March 24, 2014 according to the government's plan to fuel gold trading.

BENEFITS OF THE KRX GOLD MARKET

- Ease of trading
- Tax exemption and low fees
- High quality guarantee and safe storage
- Ability to trade in small quantities

KRX GOLD MARKET TRADING SCHEME

Product	1 kg gold bar (Purity 99.99%)
Transaction units	1 g
Trading hours (Submission of bids)	09:00 ~ 15:30 (08:00 ~ 15:30)
Daily price change limit	±10% of the base price



ETNs

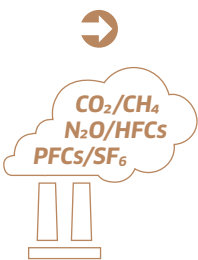
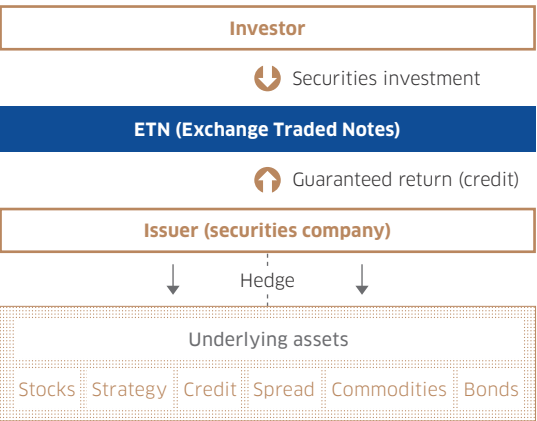
KRX LAUNCHED THE ETN MARKET IN NOVEMBER 2014 IN RESPONSE TO INCREASING DEMANDS FOR NEW INVESTMENT VEHICLES.

ETN (Exchange Traded Note)

An exchange-traded note is a securitized product that guarantees a specific rate of return of an index over a specific maturity period. It is issued by a securities company and backed by the company's credit. It is traded on the Exchange like stocks.

KEY DIFFERENCES BETWEEN ETNs AND ETFs

- ETNs have no limits on assets that are managed.
- Investments can be made in diverse assets (foreign indices, price volatilities, etc.).
- The issuer guarantees a specific rate of return (however, investors bear the credit risk of the issuer).



Emissions Market

WITH THE LAUNCH OF THE EMISSIONS MARKET IN JANUARY 2015, KRX IS PROMOTING THE REDUCTION OF GREENHOUSE GASES AND INVESTMENT IN GREEN TECHNOLOGIES.

Trading of emissions

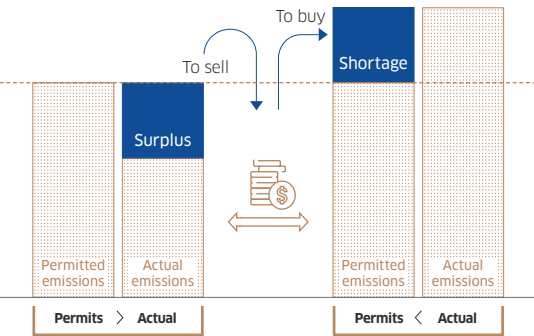
Companies that exceed emissions quotas allocated by government can buy additional permits in the market from companies with leftover quotas.

KRX's emission market provides a trading platform where companies can trade permits as easily as stocks. Market participation will be extended to individuals and financial investment companies.

TRADING SCHEME OF THE KRX EMISSIONS MARKET

Products	KAU (Korean Allowance Units) KCU (Korean Credit Units) KOC (Korean Offset Credit)
Trading units	1 unit (1 ton)
Trading hours (quotation receiving hours)	10:00~12:00 (09:00~12:00)
Daily price change limit	±10% of the base price

THE CONCEPT OF EMISSIONS TRADING



GLOBAL BUSINESS

KRX is growing with the global partners around the world through various efforts, such as alliances and cooperation and exports of IT infrastructure.

KRX has been demonstrating its excellence as an IT powerhouse through its active overseas deals, such as exporting capital market IT systems, establishing Korean-style stock markets overseas, and forging international cooperation.

- Building system linkages with overseas exchanges to improve market accessibility and investment convenience.
- Exporting securities market IT systems and capital market infrastructure to foreign markets in countries such as Malaysia, Thailand and the Philippines.
- Expansion of IT system export coverage to regions such as Eastern Europe, Middle East, Africa and South America.

EXPORT IT SYSTEM

6Locations

- Development completed: Malaysia, Philippines, Thailand, Azerbaijan, Uzbekistan
- Development in progress: Vietnam

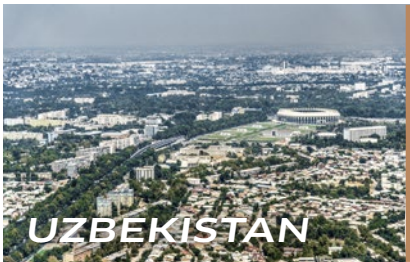
JOINT MARKET OPERATION

2Locations

- Cambodia, Laos

CONSULTING FOR EMERGING MARKETS

- Consulting for the development of the Cambodia Securities Exchange sponsored by the Korea International Co-operation Agency (KOICA)
- Support for the European Development Bank (EBRD) to establish and promote derivatives markets in three countries (Romania, Ukraine, and Mongolia)
- Support for the establishment of a new exchange in the Astana International Financial Center (AIFC) in Kazakhstan



Uzbekistan
Stock market advancement project (2011 ~ 2016)



Azerbaijan
Stock market advancement project (2015 ~ 2016)



Thailand SEC market surveillance system (2014)
Thailand SET clearing & settlement system (2012)



Joint venture with the Central Bank of Lao (BOL) to establish the Laos Securities Exchange (LSX) (2011)



Philippines SEC market surveillance system (2013)
Philippines CMIC market surveillance system (2012)
PSE disclosure system (2013)



Joint venture with the Cambodian Ministry of Economy and Finance (MEF) to establish the Cambodia Securities Exchange (CSX) (2012)



Trading systems for bonds and Islamic products, the derivatives clearing and settlement system, and the market maker systems (2007 ~ 2012)



Construction of a comprehensive, next-generation system in Vietnam, which includes systems for trading securities and derivatives, market surveillance and market information business of the Ho Chi Minh Stock Exchange and the Hanoi Stock Exchange, and systems for depository, clearing, and settlement of the Vietnam Securities Depository (to be completed in 2018)

MOUs SIGNED WITH OVERSEAS BUSINESSES

[As of 2017]

North & South America

- Life Science Washington
- NYSE Euronext
- Chicago Mercantile Exchange (CME)
- Chicago Board Options Exchange (CBOE)
- National Futures Association (NFA)
- Standard & Poor's (S&P)
- Chicago Climate Exchange (CCX)
- Lima Stock Exchange (BVL)
- Bolsa de Comercio de Santiago (BCS)

Middle East

- Dubai Mercantile Exchange Limited (DME)

Europe

- Irish Stock Exchange (ISE)
- London Stock Exchange (LSE)
- The European Bank for Reconstruction & Development (EBRD)
- Istanbul Stock Exchange (Borsa Istanbul)
- Intermediary Institutions of Turkey (TSPAKB)
- Deutsche Börse-Eurex (DB-Eurex)
- BME Spanish Exchanges (BME)
- St. Petersburg International Mercantile Exchange
- Belarusian Ministry of Finance
- Athens Exchange (ATHEX)

Africa

- Kenya
 - Nairobi Securities Exchange (NSE)

Asia

- Bursa Malaysia
- DTCC Data Repository Singapore Pte. Ltd.
- Singapore Exchange (SGX)
- Australian Securities Exchange (ASX)
- Tehran Stock Exchange (TSE)
- Jakarta Futures Exchange (JFX)
- Philippine Stock Exchange (PSE)
- State Property Committee of the Republic of Uzbekistan (SPC)
- Tashkent Stock Exchange (RSE)
- Stock Exchange of Thailand (SET)
- Astana International Financial Centre (AIFC)
- Kazakhstan Stock Exchange (KASE)
- The Nepal Stock Exchange (NEPSE)
- Abu Dhabi Securities Exchange (ADX)
- Dhaka Stock Exchange (DSE)
- Ashgabat Stock Exchange (AGB)
- Japan
 - Japan Exchange (JPX)
 - Tokyo Commodity Exchange (TOCOM)
- Taiwan
 - Taiwan Stock Exchange (TWSE)
 - Taiwan Futures Exchange (TAIFEX)
 - GreTai Securities Market (GTSM)
- Indonesia
 - Indonesia Stock Exchange (IDX)
 - Indonesia Commodity & Derivatives Exchange (ICDX)

China

- China Beijing Environment Exchange (CBEE)
- Shanghai Stock Exchange (SSE)
- Shenzhen Stock Exchange (SZSE)
- Shanghai Futures Exchange (SHFE)
- China Securities Index
- Hong Kong Exchanges and Clearing (HKEX)
- Qingdao Municipal Government
- The People's Government of Shandong Province
- The People's Government of Hebei Province
- Liaoning Province Small and Medium Enterprise Bureau
- Finance Office of Hubei Province
- Dalian Commodity Exchange (DCE)
- Finance Office of Dalian Municipal Government
- China Financial Futures Exchange (CFFEX)
- Vietnam
 - State Securities Commission of Vietnam
 - Hochiminh Stock Exchange (HOSE)
 - Hanoi Stock Exchange (HNX)

KOREA EXCHANGE

OTC
CLEARING
SERVICE

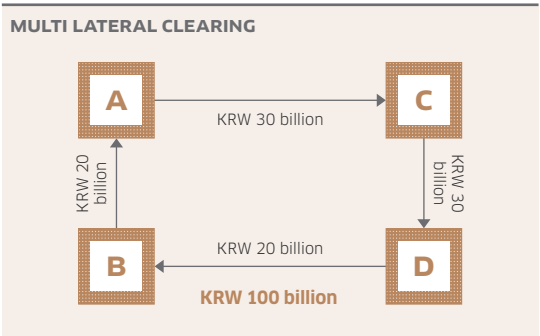
Increases the stability, efficiency, transparency of derivatives trades, as well as KRX's credibility in global markets.

SIGNIFICANTLY IMPROVES THE STABILITY,
EFFICIENCY AND TRANSPARENCY OF
SETTLEMENT OF OTC DERIVATIVES.

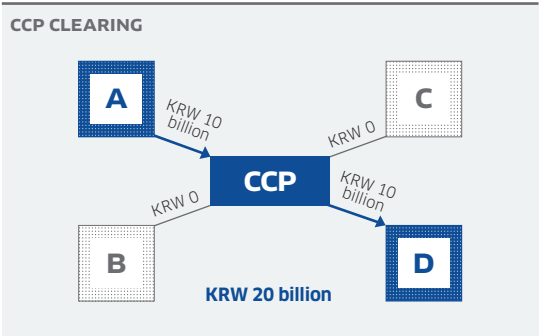
In accordance with the agreements reached at the G20 Summit in Pittsburgh in September 2009 requiring standardized OTC derivatives clearing through a CCP*, KRX launched clearing services for KRW denominated interest rate swaps** in March 2014.

***CCP (Central Counterparty):** A central clearing house that guarantees the settlement of transactions by taking part in transactions as if it were an original party

** **Interest Rate Swap (IRS):** OTC derivatives contract in which trading parties pay and receive interest in accordance with pre-agreed terms and conditions



VS



CCP SERVICES FOR KRW AND USD IRSs.

KRX provides clearing and settlement services for KRW IRS and USD IRS traded in the OTC market using international standard risk management measures to manage counterparty default risks.

BENEFITS OF CLEARING OTC DERIVATIVES
THROUGH A CCP

- **Reduction of systemic risk**
Prevention of chain defaults in the event of a default by a company as payment and deliveries are guaranteed by the CCP.
 - **Improved clearing & settlement efficiency**
Reduction of settlement risk and workload through netting.
 - **Eased capital requirements for financial institutions**
Application of a lowered risk factor (2%)* in BIS calculations.
- * KRX was recognized as a qualifying CCP by the financial regulatory body in September 2014 (a high, 20% to 100% risk weight factor is applied to trades that are not cleared through a CCP).

PRODUCTS SUBJECT TO CLEARING

• Plain Vanilla IRS

	KRW IRS	USD IRS
Type	Fixed rates - Floating rates	Fixed rates - Floating rates
Floating Rate	91-days CD rate	USD LIBOR 3M, 6M
Maturity	Up to 20 years	Up to 30 years
Notional Amount	From KRW 1 billion to 1 trillion	From USD 1 million to 1 billion
Day count convention	Actual/365 (Fixed), Actual/360, Actual/Actual	Actual/365 (Fixed), Actual/360, Actual/Actual, 30/360
Base zone for business day calculation	Seoul	① New York & London ② New York & London & Seoul ③ New York ④ New York & Seoul

➡
KRW 1.9 trillion
Average daily value cleared (2016)

➡
KRW 1,068.8 trillion
Cumulative value cleared (2014 ~ 2016)

OVERVIEW OF CLEARING SERVICES FOR IRS

PARTICIPANTS

• Financial investment companies

A total of 50 financial companies (banks, securities companies) are participating as OTC clearing members.*

*12 domestic banks, 17 branches of foreign banks, 21 securities companies

RISK MANAGEMENT

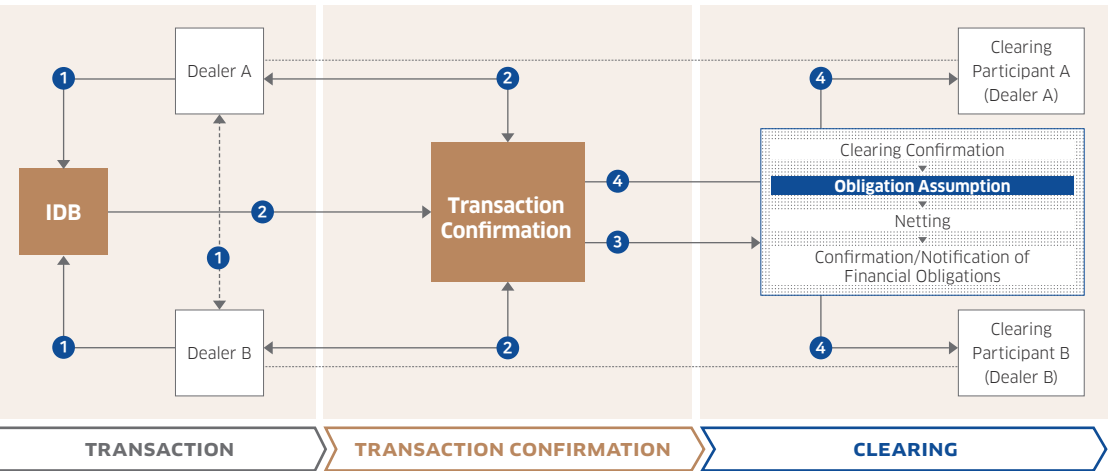
• Implementation of risk management measures in line with PFMI*, etc.

* Principles for Financial Market Infrastructures: International guidelines for financial infrastructure, such as CCPs.

RISK MANAGEMENT METHOD

Margins	
Method	Filtered Historical Simulation VaR
Data measurement period	5 years
Risk coverage period	5 days
Confidence level	99.7%
Default Fund	
Cover level	Cover 2 (including affiliates)
Risk coverage period	5 days

SERVICE FLOW



Trade execution: Trading parties carry out transactions directly or through inter-dealer brokers (IDB).

Trade confirmation: Confirmation is made through a system supplied by KRX or a designated automated confirmation service company like Markit Wire.

Clearing confirmation by KRX: Confirmation of clearing requirements (appropriateness of product specifications, position limits, etc.) followed by assumption of settlement obligations, netting, confirmation of settlement details, notification of settlement results, etc.

At a Glance 2

TOTAL
MARKET &
PRODUCTS

From the securities market to the derivatives market and from KRX indices to OTC derivatives, KRX operates diverse markets and offers a wide range of products based on fairness and transparency.

EQUITY

- Stocks
- Depository Receipts (DR)
- Special purpose acquisition companies (SPAC)
- Real estate investment trusts (REITS)
- Beneficiary certificates

SECURITIZED
PRODUCTS

- ETFs
 - Physical ETFs
 - Leveraged ETFs
 - Inverse ETFs
 - Synthetic ETFs

- ELWs
- ETNs

BONDS

- GOVERNMENT BONDS
- MUNICIPAL BONDS
- CORPORATE BONDS
 - Ordinary corporate bonds
 - Financial company bonds
 - Local public company bonds
- SPECIAL BONDS
 - Monetary stabilization bond
 - Special bonds from financial and non-financial institutions
 - Local public company bonds

COMMODITIES

- GOLD
- PETROLEUM
- EMISSIONS

DERIVATIVES

- STOCK INDEX (Representative market indices/Representative overseas indices)
 - KOSPI 200 Futures/Options
 - Mini KOSPI 200 Futures/Options
 - KOSDAQ 150 Futures
 - (CME) KOSPI 200 Futures
 - EURO STOXX 50 Futures

- SINGLE STOCK
 - Stock Futures/Options

- INTEREST RATES
 - 3-year KTB Futures
 - 5-year KTB Futures
 - 10-year KTB Futures

- CURRENCIES
 - USD Futures/Options
 - USD FLEX Futures
 - EUR Futures
 - JPY Futures
 - CNY Futures
 - (CME) USD Futures

- COMMODITIES
 - Gold Futures
 - Lean Hog Futures



2017년 05월 26일 15:37									
KOSPI									
2,355.30									
(+12.37)									
KOSPI 200 KOSPI 100 KOSPI 50									
306.96 (+1.74) 2,326.55 (+13.42) 2,029.87 (+12.93)									

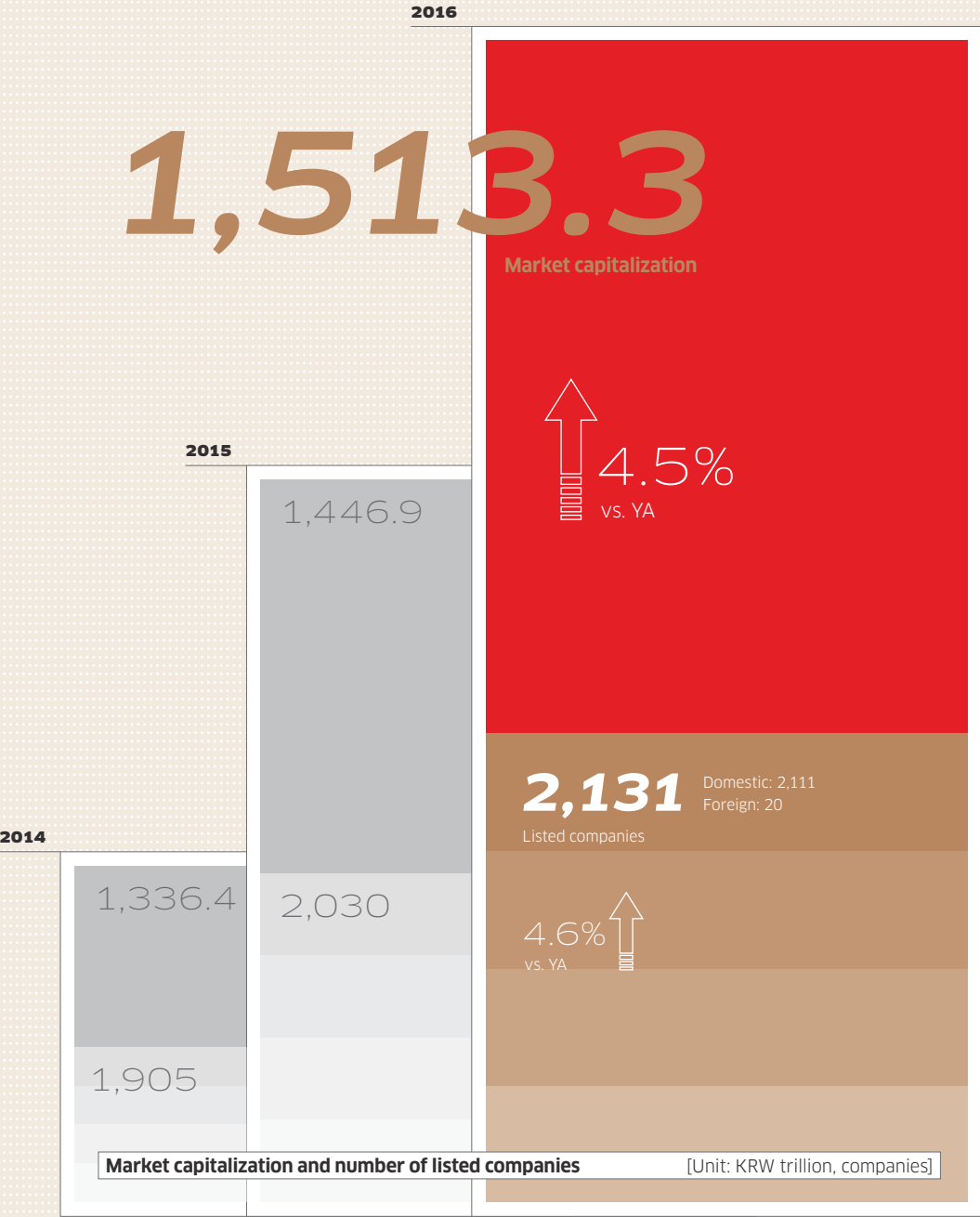
REALIZING VALUE

KRX MARKET OVERVIEW

As a comprehensive market that offers diverse products tailored to meet investors' needs, KRX will continue to proactively develop customized products that are based on market price information and high value-added, refined information to cater to the diverse demands of market information users. KRX will supply endless opportunities for all market participants to achieve their goals in a fair and credible market.

EQUITY MARKET

From global companies to small and medium-sized venture companies, various companies grow together in the KRX equity market.



KOSPI market

Since its opening in 1956, KOSPI, KRX's flagship market, has shared its history with that of the Korean economy and offers globally prominent companies such as Samsung Electronics, Hyundai Motor Company, POSCO and LG Electronics as its listed companies. The market capitalization of KOSPI amounted to KRW 1,308.4 trillion at the end of 2016.

KOSDAQ market

KOSDAQ is a new market opened in 1996 to provide growth opportunities to promising small and medium-sized enterprises and venture companies in industries such as information technology (IT) and biotechnology (BT). It is known as one of the world's most successful new markets with an annual trading value of KRW 500 trillion and a total of 1,211 listed companies.

KONEX market

KONEX was created in 2013 to build the foundation for a creative economy by supplying funds to small and medium-sized venture companies at their early stages. It completes the KONEX → KOSDAQ → KOSPI capital market structure that is designed to serve companies at each stage of growth and supports the virtuous cycle between the capital market and the real economy.

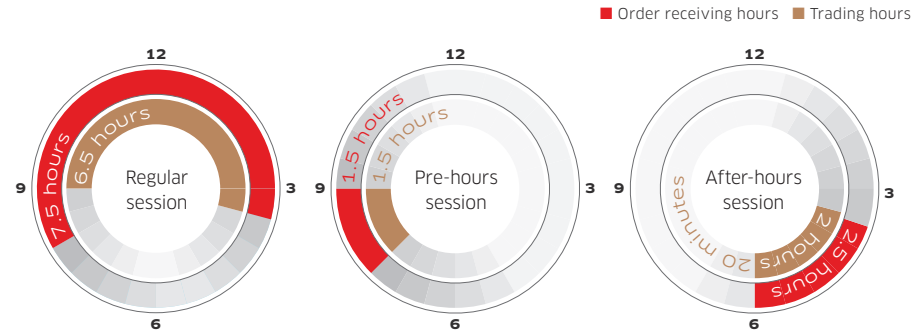


Stock market trading scheme

Market operation

Market session	Order receiving hours	Trading hours
Regular session	08:00 ~ 15:30 (7.5 hours)	09:00 ~ 15:30 (6.5 hours)
Pre-hours* session	07:30 ~ 09:00 (1.5 hours)	07:30 ~ 09:00 (1.5 hours)
After-hours session	15:30 ~ 18:00 (2.5 hours)	15:40 ~ 18:00 (2 hours 20 minutes)

* Pre-hours closing price trading and auction-based block trading only from 7:30 to 8:30 (1 hour)



Trading units

Trading unit for all listed shares is 1 share.

Price quote units

KRW 1-1,000 for KOSPI stocks and KRW 1-100 for KOSDAQ and KONEX stocks according to stock price level.

Price stabilization schemes

KRX operates a variety of price stabilization schemes that are applied at the level of the whole market, individual stock, or inter-market (cash and derivatives) to improve market stability and reinforce the price discovery function by providing investors with a cooling off period.

Daily Price Change Limits

- Daily price changes are limited to +/-30% (except for stocks to be delisted, ELWs, etc.) of the base price (usually the closing price of the previous trading day).

±30%

Circuit Breakers

- Give investors the opportunity to make rational investment decisions in the event of an abrupt drop of the market.
- Phases 1 and 2: Halting of trading for 20 minutes if KOSPI declines by 8% (Phase 1) or 15% (Phase 2) compared to the previous day's closing.

8%↓ 15%↓
20 minutes

- Phase 3: Closing of the market if KOSPI declines over 20% from the previous day's closing.

20%↓

Volatility Interruptions

- An arrangement designed to prevent temporary sharp volatility in the prices of individual stocks, within their daily price change limits.
- If the price changes by 1-10% from the latest price through a single quotation, a two-minute cooling period takes effect.
- 2-minute trading at a single price auction value.

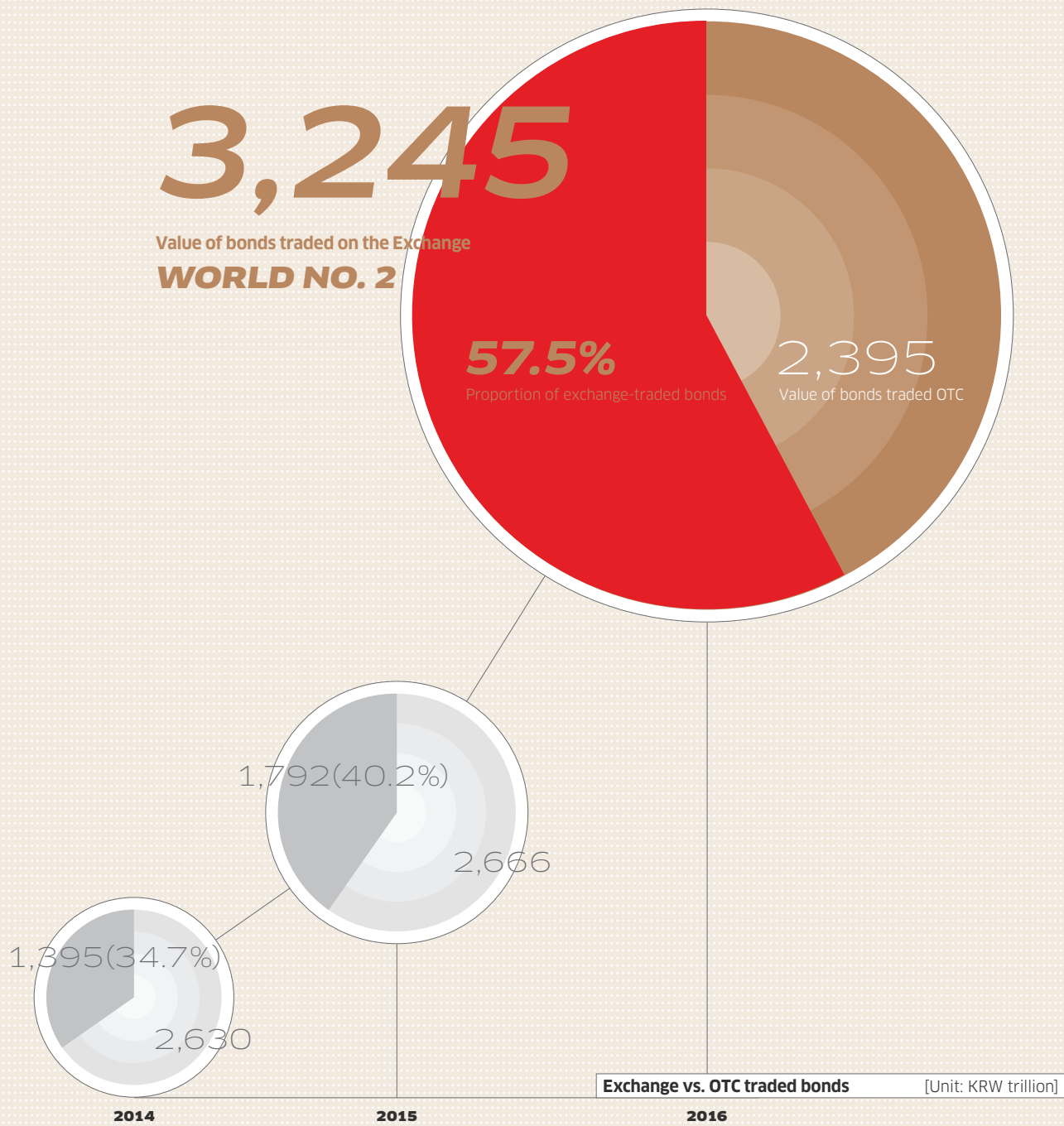
2 minutes

Sidacar

- Mitigates the shock of inter-market transactions on the equity market.
- If the price of KOSPI 200 futures fluctuates by more than 5% (6% for KOSDAQ 150 futures and 3% for KOSDAQ index) from the previous day's closing for more than one minute, the validity of all program orders are suspended for 5 minutes.

BOND MARKET

The KRX bond market is one of the most successful on-exchange markets in the world, where all types of bonds, including government bonds, municipal bonds, corporate bonds, and REPOs, are actively traded.



Listed bonds

As of the end of December 2016, KRX's bond market was ranked 4th in the world with 12,697 bonds listed.

[Unit: listed bonds, KRW trillion, %]

Type of bond	Government	Municipal	Special laws	Corporate	Total
No. of listed bonds	177	1,346	3,886	7,286	12,697
Total	582	21	633	362	1,599
Listed amount (%)	36.4	1.3	39.6	22.6	100

* Excludes foreign bonds

New listing of bonds

In 2016, a total of KRW 540 trillion of bonds were newly listed and the total amount of listed bonds outstanding at the end of the year was KRW 1,598 trillion.

[Unit: KRW trillion]

Period	2011	2012	2013	2014	2015	2016
New listings	541	570	564	566	635	541
Total	1,203	1,291	1,396	1,458	1,560	1,599

Exchange vs. OTC traded bonds

Annual KRX bond trading volume in 2016 amounted to KRW 3,245 trillion, the 2nd largest in the world, 57.5% of which were traded at the Exchange market.

[Unit: KRW trillion, %]

Period	2011	2012	2013	2014	2015	2016
KRX	815	1,351	1,308	1,395	1,792	3,245
OTC	2,883	2,930	3,035	2,630	2,666	2,395
Total	3,708	4,308	4,357	4,024	4,458	5,640
% KRX	22	32	30	35	40	58



Ranking in number of bonds listed

(Based on WFE statistics)

- 1st place: Luxembourg Stock Exchange (30,550)
- 2nd place: Ireland Stock Exchange (29,039)
- 3rd place: LSE Group (16,205)
- 4th place: KRX (12,697)**
- 5th place: India NSE (7,989)



Ranking in bond trading volume

(Based on WFE statistics)

- 1st place: Bolsa de Madrid (Spain) (6,875)
- 2nd place: KRX (3,245)**
- 3rd place: LSE Group (1,976)
- 4th place: Johannesburg Stock Exchange (1,850)
- 5th place: Nasdaq Nordic (1,712)

Structure of the KRX Bond Market

The KRX bond market consists of the wholesale market, which includes the Korean treasury bond market and the Repo market, and the retail market, which includes the general bond market and the small-lot public bond market.

Wholesale market

Korean Treasury Bond (KTB) market

- Established in March 1999, the KTB market operates with a primary dealer system to promote the issuance and trade of KTBs.
- A highly transparent market on an electronic trading platform (Exture*) that allows participants (KTB dealers) to see quotations in real-time.

REPO market

- A repurchase agreement is a dual agreement under which a seller agrees to buy a bond back from a buyer at a specific price on a specified date.
- Trade structures of the KRX Repo market conform to the Global Master Repurchase Agreement (GMRA), the world standard for Repo transactions.

Retail market

General bonds market

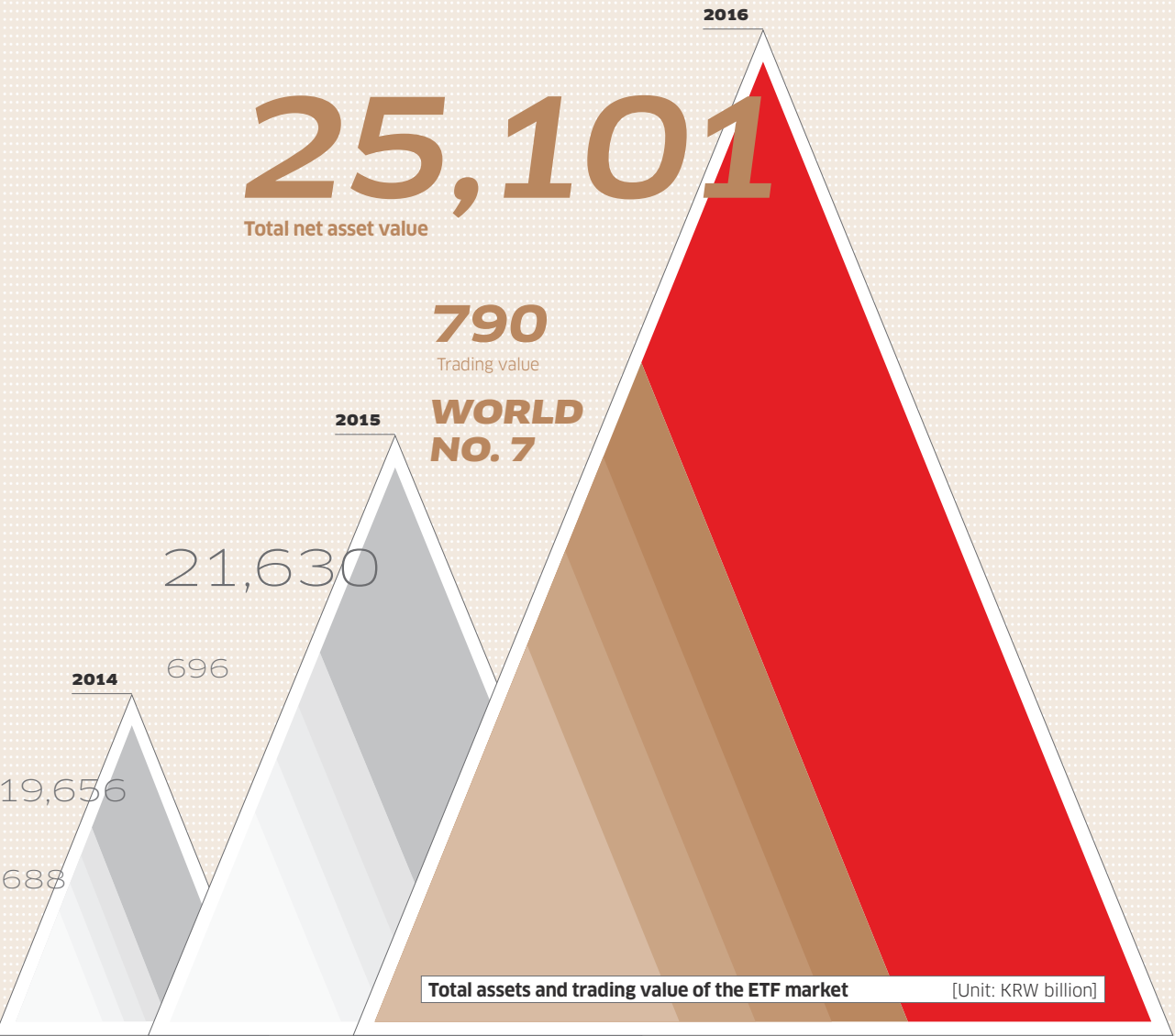
- A market where all bonds (corporate bonds, equity-linked bonds and national housing bonds) are traded.
- Listed convertible bonds can be traded only on the KRX market, contributing to the enhancement of liquidity.
- Trading unit is set at a face value of KRW 1,000 to encourage participation of individual investors.

Fractional bonds market

- Established to improve liquidity of government and municipal bonds that are mandatorily purchased by people when they buy houses or cars.
- KRX designates small-lot public bond dealers for liquid trading.

SECURITIZED PRODUCT MARKET

A market for comprehensive asset management for
ETFs, ETNs and ELWs investors.



ETF MARKET

Exchange-traded Funds (ETFs)

A fund, whose profitability is linked to a listed fund index or designated asset price, that is listed and traded like a stock on the exchange.

KRX's ETF market has grown steadily since its establishment in October 2002 and featured 256 listed products at the end of 2016. It has become the seventh largest market in the world in terms of trading value. There are various types of ETFs listed on the market, such as foreign stock indices, bonds, raw materials, and synthetic ETFs, with a total net asset value of KRW 25 trillion.

Types of listed ETFs

[Unit: no. of products, %]									
Type	Domestic stocks	Foreign indices	Bonds	Currency	Mixed assets	Lever-aged inverse	Raw materials	Real estate	Total
Products	121	43	21	2	8	49	10	2	256
Weight	47.3	16.8	8.2	0.8	3.1	19.1	3.9	0.8	100

Daily trading value and market capitalization of KRX ETFs

[Unit: KRW billion]						
Year	2011	2012	2013	2014	2015	2016
Capitalization	9,906	14,717	19,421	19,656	21,630	25,101
Trading value	489	544	792	688	696	790

“

KRX's securitized products market provides means to comprehensively manage diverse assets, such as exchange-traded funds (ETFs) and securitized derivatives (ETNs, ELWs). By offering a diverse product line-up, it is keeping abreast of investors' evolving demands.

”

ETN MARKET

Exchange-traded Notes (ETNs)

ETNs are structured products issued by securities companies based on the performance of their underlying indices. Similar to ETFs, ETNs are traded on the Exchange.

Market size

[Unit: no. of products, KRW billion]			
Year	2014	2015	2016
Products	10	78	132
Trading value	0.6	17.4	32.3

KRX's ETN market has shown rapid growth since it opened with ten issues in November 2014. As of the end of 2016, 132 issues with market capitalization of KRW 3.4 trillion were traded on the market.

ELW MARKET

Equity Linked Warrants (ELWs)

A ELW is a security that represents the right to buy (“call”) or sell (“put”) the underlying stocks or indices at a pre-determined price on a future date (maturity).

The KRX's ELW market was established in December 2005 and enjoyed rapid growth until 2012, when the regulatory body put restrictions on quotations by liquidity providers to prevent overheating of the market and protect investors.

Trend of KRX ELW Trading (daily average)

[Unit: million shares, KRW billion]						
Year	2011	2012	2013	2014	2015	2016
Trading volume	4,893	1,321	1,125	805	826	853
Trading value	1,285.7	241.6	116.9	80.4	84.8	84.0

Listed ELW products

[Unit: no. of products]			
Year	2014	2015	2016
Products	2,624	2,284	2,566

DERIVATIVES MARKET

The KRX derivatives market has established itself as Asia’s top comprehensive derivatives market with a diverse products line-up and efficient risk management.

Products listed in the derivatives market

TOTAL 34 Products

Commodity

Gold futures
Lean hog futures

Currency

Currency futures USD futures
USD FLEX futures
EUR futures
JPY futures
CNY futures
(CME) USD futures
Currency options USD options

Equity

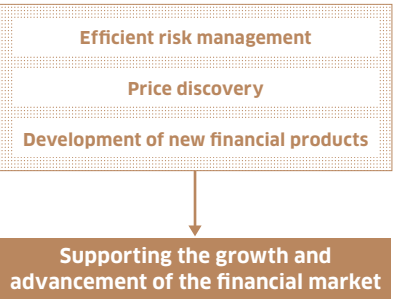
Stock futures
Stock options
Underlying stocks of single stock futures:
125 stocks issued by blue-chip companies
including Samsung Electronics

Stock index

Representative indices KOSPI 200 futures
KOSPI 200 options
Mini KOSPI 200 futures
Mini KOSPI 200 options
KOSDAQ 150 futures
(CME) KOSPI 200 futures
Representative overseas indices EURO STOXX 50 futures
KOSPI 200 sector indices Construction futures
Business consumer goods futures
Financial futures
Energy & chemicals futures
Information technology futures
Heavy industries futures
Health care futures
Steels & materials futures
Consumer discretionary futures
Industrials futures
Strategy-based High Dividend 50 futures
Dividend Growth 50 futures
Volatility Index futures

Interest rate

3-year KTB futures
5-year KTB futures
10-year KTB futures



2.82

[Unit: million contracts]
Average daily trading volume (2016)

41.4

[Unit: KRW trillion]
Average daily trading value (2016)

Supporting the growth and advancement of the financial market.

The derivatives market supports the growth and advancement of the financial market by performing the functions of efficient risk management for traditional financial instruments such as stocks and bonds, price discovery, and development of new financial products.

Starting from the listing of KOSPI 200 futures in 1996, the KRX derivatives market has evolved into a global derivatives market over the past 20 years by fulfilling the diverse needs of investors for risk management. Currently, 34 derivatives products including KOSPI 200 futures and options, KOSDAQ 150 futures, KTB futures, and USD futures are actively traded on the market.

Derivatives market

Average daily trading volume by year

[Unit: million contracts, KRW trillion]

Year	2012	2013	2014	2015	2016
Average daily trading volume	7.40	3.32	2.77	3.19	2.82
Average daily trading value	54.6	47.9	37.2	40.9	41.4

Trading schemes

Quotation receipts and trading hours

Quotation receipts	Trading hours of regular sessions
08:00 ~ 15:45	09:00 ~ 15:45

Single contract value: Price × Multiplier*

* KRW 250,000 for KOSPI 200 futures and options, KRW 10 for single stock futures and options and KRW 10,000 for USD futures, etc.

The last trading day

Classification	Final trading date
Index derivatives - Single stock derivatives (excluding EURO STOXX 50 futures, Volatility index futures)	2 nd Thursday of delivery months
Interest rate	3 rd Tuesday of delivery months
Currency products (excluding USD FLEX futures)	3 rd Monday of delivery months
Commodity	3 rd Wednesday of delivery months

Trading procedures of KRX derivatives



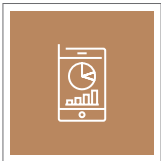
1

Account opening
An account must be opened with a member securities and futures firm and a related bank



2

Deposit of margins
Customer margin per product must be deposited



3

Order placement
Orders can be placed by visiting the member firm, via telephone or HTS



4

Confirmation of trade execution
Trading details may be confirmed by visiting the member firm, via telephone or HTS



5

Daily settlement or reverse trading
Daily marking to market and early liquidation



6

Final settlement
On the day after the last trading day of the contract, the trade is settled by cash payment and/or physical delivery

Listing Guide

Listing at KRX opens the door to opportunities that lead to a better tomorrow.

Why KRX

1. Ample liquidity

KRX is one of the most dynamic and liquid markets around the world. Thanks to its active local retail investors and solid investment from foreign institutions, KRX continues to be ranked in the top-tier exchanges in terms of share turnover. KRX's trading value in 2016 was USD 1.7 trillion, which is the 10th largest in the world.

2. Full spectrum of listed companies

Unlike other markets in the region focusing on specific fields of industries, KRX provides wider range of industries covering established industries, such as automotives, retails, logistics chemicals and ship-building, and state-of-the art technologies including mobile phones, semi-conductors and other IT devices.

Korean investors and analysts have a deep understanding and experience on a wide variety of industries, which means higher valuation and more investment potential in company stocks.

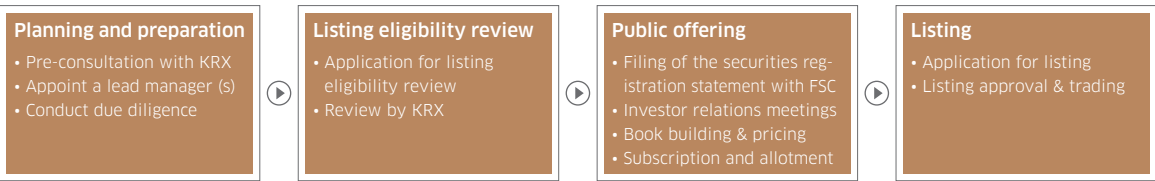
3. Competitive listing fees

When selecting an overseas venue for listing, the listing-related fee is one of the major considerations and may be a financial burden to listed companies. To minimize the would-be listed companies' financial burden, KRX maintains its listing fees lower than any other exchanges around the world.

4. Trusted and sound regulatory regime

Korean financial market has established a stringent but market-friendly and flexible regulatory regime. KRX has its listed companies adopt the corporate governance system on par with those systems in developed markets and KRX continues to adopt the global best practice in corporate governance and corporate accounting system. Listing on KRX would be the best chance to upgrade your company's corporate governance and accounting system to the level of global companies.

Listing procedures



Listing requirements

KRX uses two sets of listing requirements: one for the KOSPI Market where established large companies are listed and the other one for the KOSDAQ Market where small and medium sized venture companies are listed.

	KOSPI	KOSDAQ
Years of operation	• At least 3 years	
Corporate size	• No. of shares to be listed: at least 1 mil. and • Shareholder's Equity: At least USD 30 mil.	• Shareholder's Equity: at least USD 3 mil. or Market Cap.: At least USD 9 mil.
Financial performance (Choose one of the options)	Option 1. 1) Revenue: USD 100 mil. (recent year) and USD 70 mil. (3 yr average) 2) - Profit*: USD 3 mil. (recent year) and USD 6 mil. (3 years sum) or - ROE: 5% (recent yr) and 10% (3 yrs sum) or - 3% ROE or USD 5 mil. profit (only for the company with USD 100 mil. of shareholders' equity and positive operating cash flow) * Profit: The smallest one among operating profit, income before tax and net profit. Option 2. Mkt. Cap. USD 400 mil. & Revenue USD 200 mil. (recent year)	Option 1. Income: ROE 10% (recent year) Option 2. Net profit: USD 2 mil. (recent year) Option 3. Market Cap. USD 30 mil. & Revenue USD 10 mil. (recent year) ◆ KOSDAQ applicant shall not have its capital impaired for the recent year.
Public float	• General shareholders: at least 25% - At least 1,000 Korean shareholders in case of secondary listing (25% public float is not required).	• Minority shareholders: at least 25% - At least 500 Korean shareholders and 300,000 shares in case of secondary listing (25% public float is not required).
Auditing	• Unqualified (recent year) and unqualified/qualified (2 years before recent year) • Audited by Big 4 accounting firms (PWC, KPMG, Ernst & Young, Deloitte) - exempted in case of secondary listing • IFRS or U.S. GAAP for consolidated financial statements	• Unqualified (recent year) • Audited by Big 4 accounting firms (PWC, KPMG, Ernst & Young, Deloitte) - exempted in case of secondary listing • IFRS or U.S. GAAP for consolidated financial statements
Largest shareholder	• Qualitative review: Change of the largest shareholder is accepted if it does not affect management rights	
Share transfer	• Freely transferable	
Outside directors	• Companies on KRX designated market for 3 years - Home country governance rules recognized - Appointment of an outside director • Others: at least a quarter of board members - If asset is larger than USD 2 bil., at least 3 outside directors required & majority - If asset is below USD 2 bil. a quarter of board members should be outside directors	
Full time statutory auditor	• Companies listed on KRX designated market for over 3 years - An auditor or an audit committee - Composition of audit committee: at least 3 directors, majority outside directors and accounting or financial experts with an outside director appointed as representative • Others: If aggregated asset value is at least USD 100 mil. one statutory auditor is required - If asset is larger than USD 2 bil. audit committee is required (2/3 outside directors)	
Lock-up period	• Largest shareholder: 6 months after listing - exempted in case of secondary listing	



SHARING HAPPINESS

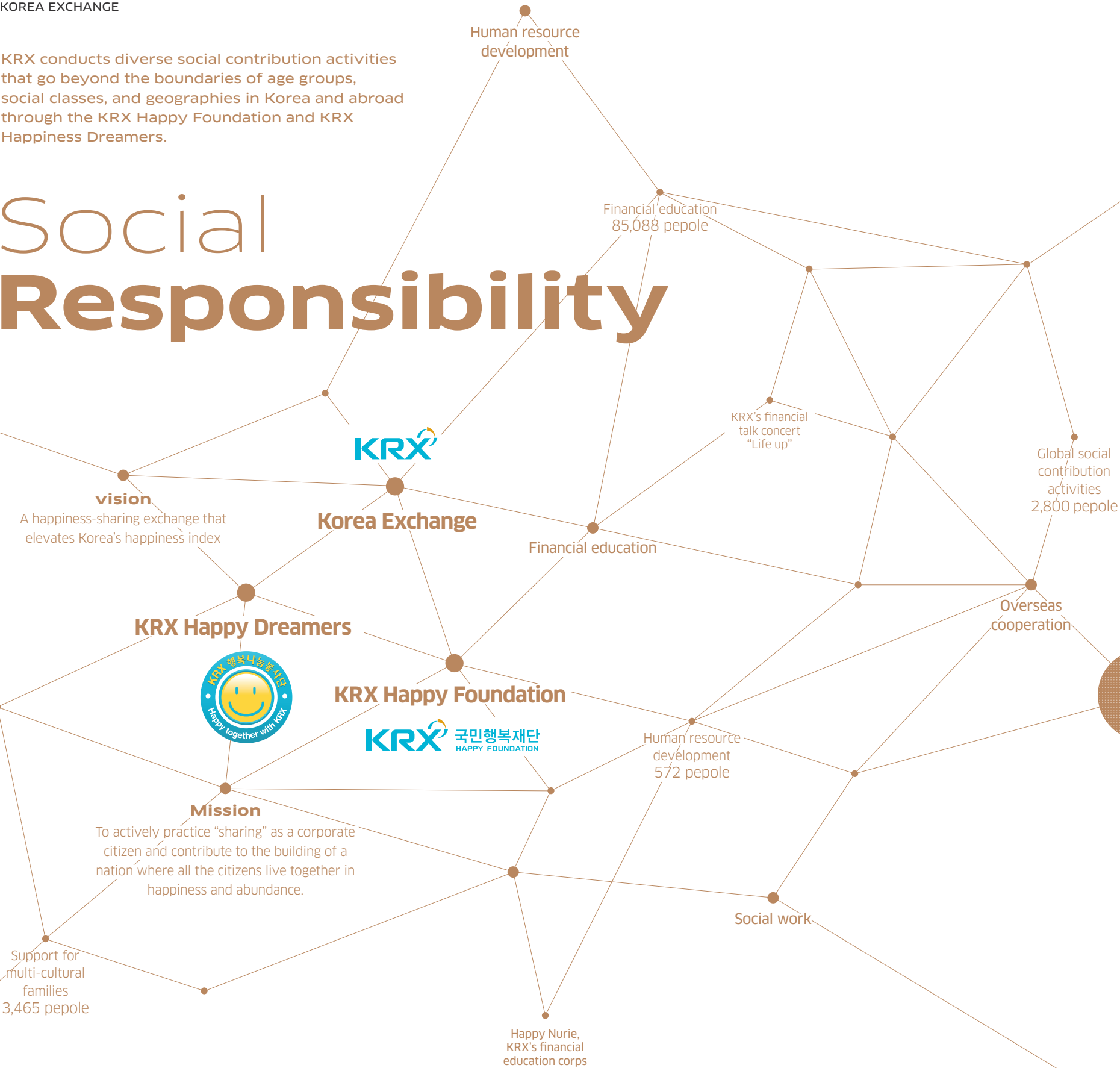
KRX'S SOCIAL RESPONSIBILITY

KRX has been carrying out ongoing and organized social contribution activities on two fronts, the KRX Happy Foundation and KRX Happiness Dreamers, to create a nation where citizens share prosperity and happiness. From social welfare activities for marginalized neighbors to financial education that takes advantage of KRX's expertise, KRX is building its reputation as the "Sharing Exchange that boosts the happiness index."



KRX conducts diverse social contribution activities that go beyond the boundaries of age groups, social classes, and geographies in Korea and abroad through the KRX Happy Foundation and KRX Happiness Dreamers.

Social Responsibility



From IT specialized training that helps local residents gain economic independence to diverse volunteer activities, such as medical checkups and treatments that promote a better quality of life; KRX's social contribution activities are actively underway overseas.

+ Overseas cooperation

KRX IT training center in Cambodia

Operation of a vocational center in Phnom Penh to provide specialized vocational training to about 800 job seekers, youth, teachers, and residents per year and to enable poverty-stricken youth and local residents to gain economic independence.



2,000

people

Medical treatment by the Overseas Medical Service Corps for local residents in Laos

Programs of the KRX Happy-Ari Overseas Volunteer Force

KRX dispatches its collegiate overseas volunteer force to underdeveloped countries to meaningfully improve the lives of local residents and to cultivate the volunteering spirit and global talent of college students.

Dispatching of the KRX Medical Service Corps

KRX dispatches a professional medical volunteer force to underdeveloped countries to provide medical check-ups, treatments and preventive care for local residents.

158

people

Total number of students who participated in the KRX Happy-Ari collegiate volunteer force

KRX is committed to raising the “happiness index” of our society by providing social welfare services for neglected neighbors, financial education that takes advantage of the company’s expertise, and personalized care by its “Happiness Dreamers”.

39,640 people

Recipients of collegiate financial education



+ Financial education

Financial education for college students

KRX’s Financial Talk Concert, “Life Up,” provides well-organized financial education and employment to prospective university graduates.

Financial education for specialized high schools

Aimed at enhancing the understanding of sound financial life and conducting career guidance through basic economic and financial education and experience-based job training for youth.

+ Social work

Support for multi-cultural families

Financial support for the hospitalization and operation of critically ill and low-income patients from multicultural families and on-site free medical checkup services in areas with a high concentration of multicultural families or areas that lack medical facilities.

Support to upgrade regional child care centers

Remodeling of 6 rundown local children care centers to help children grow into healthy members of society by learning and living in a pleasant environment.



Experiential self-reliance program for youth to be discharged from youth care facilities

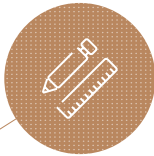
Support for young people due to be discharged from youth shelters to develop self-confidence and social responsibility through programs that enable them to experience independence.

3,256 people

Number of multicultural family members that benefited from free medical checkups

263 people

Graduates from the self-reliance program for youth due to be discharged from shelters



Youth 211 people (for 6 years)
Specialized high schools 150 people (for 5 years)
College students 115 people (for 5 years)

Recipients of KRX DREAM scholarships



+ Human resource development

KRX DREAM scholarship programs for middle school, high school, and college students

Scholarships and customized, experiential programs for students from multicultural families, families with multiple children, and families in need.

KRX DREAM scholarship programs for specialized high schools

Sponsorship for outstanding students from low-income and socially disadvantaged families to ease their economic burdens and to nurture professionals with high school degrees.

+ KRX Happy Dreamers

1 company, 1 village farm support

Regular support of rural villages through sisterhood agreements by which manpower for farm work, village facility maintenance, product support, and produce sales are conducted.

KRX Happy Foundation “Kimchi Sharing Program”

Support for local communities by providing food for the winter for broken families and 30 major social welfare facilities and KRX-supported child care centers nationwide.



KRX Social Contribution Week

A total of 120 KRX employees visit eight welfare facilities nationwide every year to carry out on-site social contribution activities.

KRX small-group talent donation program

Spreading the culture of sharing and expressing love for neighbors through diverse small group volunteer activities held by KRX Happy Dreamers for the disadvantaged.

25 tons

KRX Happy Foundation Kimchi Sharing Program

As the bedrock of the Korean capital market for the past 60 years, KRX has strived to think of people, looking beyond the numbers.... to think beyond capital and to bring prosperity throughout the entire world.

Today, in the face of tremendous shifts in the global financial paradigm, KRX aims to bring innovation to itself and the Korean capital market with solid determination founded on confidence, communication, and a spirit of challenge.

As a market pioneer that uncovers future growth engines and as a premier exchange that sets global financial standards, KRX will do its best, with faith and passion, to ensure that every step that it takes becomes a stepping stone to the future of the Korean capital market and live up to the expectations of each market participant.

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Designed by Killing Mario



